

DINO POLSKA S.A.

FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016

Krotoszyn, 27 February 2017

Unofficial translation. Only the original Polish text is binding.

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2016
(in thousands of PLN)

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INTRODUCTION TO THE FINANCIAL STATEMENTS

1. GENERAL INFORMATION

DINO Polska S.A. ("Company") was established by notary deed on 9 November 2007.

The Company was entered in the register of entrepreneurs in the National Court Register kept by the District Court, 9th Commercial Division of the National Court Register under file number KRS 0000408273.

The Company has been given the following statistical number: REGON 300820828.

The Company's registered office is located at the following address: Ostrowska 122, 63-700 Krotoszyn.

The Company's duration is unlimited.

According to the Company's articles of association, the Company's core business is:

1. 47.11.Z Retail sale in non-specialized stores with food, beverages or tobacco products predominating,
2. 46.39.Z Non-specialized wholesale of food, beverages and tobacco products.

The financial statements were prepared for the year ended 31 December 2016.

2. GOING CONCERN ASSUMPTION

The Company's financial statements were drawn up under the assumption that the Company remains a going concern for at least 12 months after the balance sheet date, i.e. after 31 December 2016. As at 31 December 2016, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized and suppliers offer deferred payment terms. At the same time, the Company intensively develops its network using free cash and funding from bank loans to increase the value of the investments. Conditions precedent related to the loan agreements are monitored on an ongoing basis and as of now there is no risk of termination of these agreements by the banks. The Company's Management Board did not identify, as at the date of signing the financial statements, any other facts or circumstances that would point to any threat to the Company's ability to continue its activity for at least 12 months after the balance sheet date as a result of intentional or induced discontinuation or material curtailment of its existing activity.

3. MERGERS OF COMMERCIAL COMPANIES

In the financial year for which the financial statements were drawn up, the Company did not merge with any other business entity and did not purchase any organized part of any enterprise.

4. ADOPTED ACCOUNTING PRINCIPLES (POLICIES)

4.1. Format and grounds for drawing up the financial statements

The financial statements were drawn up pursuant to the provisions of the Accounting Act of 29 September 1994 (hereinafter "Accounting Act").

The financial statements have been prepared under the historical cost convention.

The Company has drawn up its profit and loss account by using the comparative format. The cash flow statement has been drawn up using the indirect method.

4.2. Intangible assets

Intangible assets are recognized if it is likely that they will precipitate receipt of economic benefits by the Company which may be directly linked to these assets. Intangible assets are initially captured at purchase price or production cost. After the initial capture, intangible assets are carried at purchase price or production cost minus accumulated depreciation and impairment charges. Intangible assets are depreciated by straight-line depreciation over the period corresponding to the estimated period of their economic utility.

The anticipated period of economic utility is as follows:

Patents, licenses and trademarks	2 - 20 years
Software	2 - 7 years

Other intangible assets

Not applicable

The estimates of the period of economic utility and the depreciation method are reviewed at the end of every financial year to verify whether the applied methods and the depreciation period are consistent with the expected distribution of economic benefits generated by these intangible assets.

As at the balance sheet date, the Company evaluates whether the carrying amount of presented assets does not exceed the value of expected future economic benefits. If there are grounds indicating such a fact, the carrying value of the assets is reduced to the net sale price level. Impairment charges are posted in other operating expenses.

4.3. Fixed assets

Fixed assets are carried at purchase price or production cost minus accumulated depreciation or impairment charges. In the case of perpetual usufruct right to land, the purchase price is construed as the price of purchase of the right from a third party or surplus of the first fee over the annual fee if the right was acquired for a fee from the municipality. Land is carried at purchase price minus any impairment charges.

As at 31 December 2016 the Company had no fixed assets subject to revaluation.

The costs incurred after commencing the usage of a fixed asset, such as the costs of repair, inspections and user fees, affect the financial result of the financial year in which they were incurred. However, if it is possible to prove that these costs increased the expected future economic benefits on account of holding the fixed asset, surpassing the benefits assumed originally, then they increase the initial value of the fixed asset.

Fixed assets, with the exception of land, are depreciated by using the straight-line method corresponding to the expected period of their economic utility or over the shorter of the two periods:

Perpetual usufruct right to land	Not depreciated
Buildings, premises, rights to premises and civil and marine engineering facilities	10 - 40 years
Plant and equipment	3 - 12 years
Means of transport	5 - 7 years
Other fixed assets	3 - 12 years

The estimates of the period of economic utility and the depreciation method are reviewed at the end of every financial year to verify whether the applied methods and the depreciation period are consistent with the expected distribution of economic benefits generated by that fixed asset over time.

As at the balance sheet date, the Company evaluates whether the carrying amount of presented assets does not exceed the value of expected future economic benefits. If there are grounds indicating such a fact, the carrying value of the assets is reduced to the net sale price level. Impairment charges are posted in other operating expenses.

4.4. Fixed assets under construction

Fixed assets under construction are carried at the total amount of costs directly related to their purchase or manufacture, including financial expenses, minus impairment charges. Investment materials are also shown in fixed assets under construction. Fixed assets under construction are not depreciated until their construction is completed and they are commissioned.

4.5. Related entities

The Company construes related entities as two or more companies from a group where a group is understood as a parent entity together with its subsidiaries.

4.6. Investments in subordinated entities, capital exposures and other long-term investments

Investments in subordinated entities comprise investments in subsidiaries, co-subsidiaries and affiliates. The Company construes subsidiaries as entities controlled by the Company, co-subsidiaries as entities co-controlled by the shareholders under a shareholder agreement, and affiliates as entities in which it has capital exposure and on which it has significant influence. At the same time exposure to capital of another entity is understood by the Company as any share in the equity of such other entity that has the nature of a permanent relation. In the case of an affiliate, a permanent relation is present always unless disposal of the share soon after the date of its acquisition, purchase or obtaining in another form is highly probable.

Investments in subsidiaries, co-subsidiaries and affiliates are carried at historical cost minus any impairment.

Other long-term investments (excluding financial assets as described in note 4.8) are carried at historical cost minus any impairment.

Impairment of shares in subordinated entities and other long-term investments is estimated as at every balance sheet date. The carrying value of such assets is each time reviewed to determine whether or not it exceeds the value of future economic benefits.

4.7. Other short-term investments (excluding cash and financial assets)

Other short-term investments, except for cash and financial instruments, are marked to the lower of the market price (value), while short-term investments for which there is no active market, are carried at fair value.

The effects of increase or decrease of the value of short-term investments at market prices (values) are posted directly to financial income or expenses.

4.8. Financial assets

Financial assets, at the time they are entered in the accounting ledgers, are carried at cost (purchase price) constituting the fair value of the amount paid. Transaction costs are included in the initial value of the financial instruments. Financial assets are posted in the accounting ledgers as at the transaction date.

After the initial recognition, financial assets are classified in one of the four categories and measured as follows:

<i>Category</i>	<i>Valuation method</i>
1. Financial assets held to maturity	At the adjusted purchase price (amortized cost) calculated using the effective interest rate
2. Granted loans and own receivables	At the adjusted purchase price (amortized cost) calculated using the effective interest rate. Receivables with a short-term maturity, for which no interest rate was defined, are carried at the required payment amount
3. Financial assets held for trading	At fair value and gains/losses on their revaluation are posted to the profit and loss account
4. Financial assets available for sale	At fair value, while gains/losses on their revaluation are recognized in the profit and loss account until the investment is sold or its value is impaired. At that moment, the overall revaluation gain/loss is recorded in the profit and loss account

The fair value of financial instruments traded on an active market is calculated in reference to the prices quoted on that market on the balance sheet date. If no market price is quoted, then the fair value is estimated on the basis of a quoted market price of a similar instrument or according to the expected cash flows.

Impairment of financial assets

As at every balance sheet date, the Company evaluates whether there is objective evidence indicating impairment of a financial asset or a group of financial assets. If such evidence exists, the Company determines the asset value that may be estimated to be recoverable and posts an impairment loss in the amount of the difference between the recoverable amount and the carrying amount.

Impairment losses concerning a single financial asset or a portfolio of similar financial assets are determined:

- 1) for financial assets carried at adjusted purchase price – as the difference between the value of such assets resulting from the accounting ledgers as at the valuation date and the recoverable amount. The recoverable amount is the present value of future cash flows expected by the entity, discounted by the effective interest rate applied hitherto by the entity in its valuation of the financial asset being revalued or the portfolio of similar financial assets being revalued,

- 2) for financial assets carried at fair value – as the difference between the purchase price of the relevant asset and its fair value determined as at the valuation date, where the fair value of debt financial instruments as at the valuation date is construed as the present value of future cash flows expected by the entity, discounted by the current market interest rate applied to similar financial instruments. Accumulated loss captured hitherto in revaluation capital is posted to financial expenses in an amount of no less than the charge minus the part directly posted to financial expenses,
- 3) for other financial assets – as the difference between the value of the relevant asset resulting from the accounting ledgers and the present value of future cash flows expected by the entity, discounted by the current market interest rate applied to similar financial instruments.

4.9. Leases

The Company is a party to leasing agreements pursuant to which it accepts third party fixed assets or intangibles to use them or draw benefits from them against a charge for an agreed period of time.

In the case of leasing agreements which transfer generally the entire risk and all benefits resulting from holding the assets subject to the agreement, the leased item is presented as a fixed asset in the balance sheet and at the same time a liability is posted in the amount equal to the present value of minimum leasing fees set on the leasing commencement date. Leasing fees are allocated to financial expenses and to the reduction of principal debt balance in a manner enabling the achievement of a fixed interest rate on the outstanding liability. Financial expenses are captured directly in the profit and loss account.

Fixed assets subject to a financial leasing agreement are depreciated according to the method applied to own fixed assets. However, if there is no control over the moment of transfer of the ownership title to the leased item or certainty whether such transfer has been effected, then fixed assets used under financial leasing agreements are depreciated over the shorter of the two following periods: the expected utilization period or the leasing period.

4.10. Inventories

Inventories are measured at purchase price, no higher than their net realizable price.

The purchase price or the production cost of an inventory component takes into account the costs of purchase, the costs of conversion and other equipment costs incurred in bringing the inventories to make their present location and condition - both in terms of the current and the previous year - and are determined as follows:

Materials	at purchase price using the “first in, first out” method
Finished goods and work in progress	the cost of direct materials and labor and an appropriate overhead of indirect manufacturing costs determined under the assumption of normal production capacity utilization, excluding external financing
Merchandise	at purchase price using the “first in, first out” method

The net realizable price is the estimated sales price that can be achieved in the course of the entity’s normal business, less the costs of finishing and the estimated costs required to finalize the sale. The costs of transport from the warehouse to the stores are an element of valuation of the inventories and cost of sales at the time of their sale.

4.11. Short- and long-term receivables

Trade receivables are shown as the amount of the required payment minus the impairment losses.

Receivables are revalued taking into account the probability of their payment, by posting an impairment loss. Impairment losses against receivables are carried to other operating expenses or financial expenses, respectively, depending on the type of receivables to which the impairment loss applies.

Receivables that have been forgiven, expired or are uncollectible reduce the impairment loss posted previously.

Receivables that have been forgiven, expired or are uncollectible, for which impairment losses were not posted or where they were posted at a less than full amount, are included in other operating expenses or financial expenses, respectively.

4.12. Transactions denominated in a foreign currency

Transactions denominated in currencies other than the Polish zloty are converted into Polish zloty at the exchange rate applied on the date of the transaction or, if it is impossible to apply such an exchange rate, at the average

exchange rate announced for the relevant currency by the National Bank of Poland on the date preceding the date of the transaction.

As at the balance sheet date, the assets and liabilities denominated in currencies other than the Polish zloty are converted into Polish zloty using the average exchange rate in force on that date for the relevant currency as announced by the National Bank of Poland. The foreign exchange gains and losses resulting from such conversion are captured respectively as financial income or financial expense line items or, in the cases defined by the law, are capitalized in the value of assets.

The following exchange rates have been adopted for the purposes of the valuation:

	<i>31 December 2016</i>	<i>31 December 2015</i>
EUR	4.4240	4.2615

4.13. Cash and cash equivalents

Cash at bank and in hand is valued at par value.

Cash and short-term deposits disclosed in the balance sheet include cash at bank and cash in hand, as well as short-term deposits with an original maturity of up to three months and cash in transit due to payment cards. The balance of cash and cash equivalents presented in the cash flow statement consists of the aforementioned cash and its equivalents.

4.14. Accruals

The Company records accruals and prepayments of costs if they apply to future reporting periods. Accruals and pre-paid expenses are made at the amount of the probable liabilities for the current reporting period.

4.15. Share capital

Share capital is captured in the amount stated in the Company's articles of association and entered in the court register. If shares are subscribed for at a price exceeding their par value, the share premium is captured in supplementary capital. The costs incurred for the issue of new shares decrease supplementary capital from the issue of shares above par value to the amount of such capital. Other costs are classified as financial expenses.

Any advances toward the dividend disbursed during the year are presented in the accounting ledgers and in the balance sheet as profit distributions made during the financial year.

4.16. Provisions

Provisions are captured when an existing obligation (legal or customary) resulting from prior events is imposed on the Company and when it is certain or highly probable that the fulfillment of this obligation will require an outflow of the funds personalizing the economic benefits and when the amount of this liability can be estimated credibly.

4.17. Bank loans, borrowings and financial liabilities held for trading

At the time of initial recognition, bank loans and borrowings are carried at cost, corresponding to the value of received cash, taking into account the costs associated with obtaining the loan (transaction costs). Next, all bank loans and borrowings, except for liabilities held for trading, are carried at adjusted purchase price (amortized cost) calculated using the effective interest rate.

Financial liabilities held for trading, including derivative instruments, are carried at fair value. Gains or losses on revaluation to fair value are posted to the profit and loss account for the current period.

4.18. Cost of external financing

The cost of external funding related to construction, adjustment, installation or improvement of fixed assets is captured, throughout the construction, adjustment, installation or improvement period, at the value of such assets, provided that these liabilities have been incurred for that purpose.

Financial expenses pertaining to financing with trade liabilities adjust the value of goods sold, inventories, liabilities and receivables, and are captured in the profit and loss account as interest cost.

4.19. Deferred income tax

Deferred income tax is calculated by using the method of balance sheet liabilities in relation to all temporary differences as at the balance sheet date between the tax value of assets and liabilities and their balance sheet value shown in the financial statements.

The deferred income tax provision is recognized with reference to all positive temporary differences unless the deferred income tax provision is recognized as a result of depreciating goodwill or initial presentation of an asset or liability in a transaction which does not constitute a business combination and at the moment of its execution has no influence on the gross financial result and taxable income or taxable loss.

The deferred tax provision is recognized for all temporary gains resulting from investments in subsidiaries or affiliated entities and shares in co-subsiaries with the exception of situations where the dates and amounts of temporary reversing differences are subject to inspection and where it is probable that in the foreseeable future the temporary differences will not be reversed.

The deferred income tax asset is carried, with respect to all negative temporary differences and unused tax losses brought forward to the subsequent years, at such a probable expected taxable income amount as will make it possible to use those differences and losses unless deferred tax assets are created as a result of an initial presentation of an asset or liability component in a transaction that does not constitute a merger of entities and at the moment of its execution it has no influence on the gross financial result, taxable income or taxable loss.

In the case of negative temporary differences resulting from shares in subsidiaries or affiliates and shares in co-subsiaries, the deferred income tax asset component is recorded in the balance sheet in the amount for which it is probable that in the foreseeable future those temporary differences will be reversed and taxable income will be achieved that will make it possible to deduct the negative temporary differences.

The balance sheet value of the deferred income tax asset is verified on every balance sheet date and is gradually reduced by the amount by which the achievement of taxable income sufficient for the deferred income tax asset is partially or fully realized.

Deferred income tax assets and deferred income tax provisions are carried using the tax rates which according to the regulations adopted before the balance sheet date apply in the period when the asset is realized or the provision reversed.

Uncertainty related to tax settlements

Regulations regarding VAT, corporate income tax and social security contributions are subject to frequent changes. These frequent changes result in there being little point of reference, interpretations not consistent and few established precedents that may be followed. The binding regulations also contain uncertainties resulting in differences in opinions regarding the legal interpretation of tax regulations both between government bodies, and between government bodies and companies.

Tax settlements and other areas of activity (e.g. customs or foreign currency related issues) may be subject to inspection by administrative bodies authorized to impose high penalties and fines, and any additional taxation liabilities calculated as a result must be paid together with high interest. These conditions mean that the tax risk in Poland is higher than in countries with a more mature fiscal system.

Accordingly, the amounts presented and disclosed in the financial statements may change in the future as a result of a final decision of tax audit authorities.

Effective 15 July 2016, the Polish Tax Code was amended for the General Anti-Abuse Rule (GAAR) provisions. GAAR is intended to prevent the creation and use of artificial legal arrangements to avoid payment of tax in Poland. GAAR defines tax avoidance as an act carried out primarily in order to achieve a tax benefit, contrary in the circumstances to the object and goal of a provision of a tax act. Pursuant to GAAR, such an act does not result in a tax benefit, if the mode of action was not genuine. All unjustified (i) split of operations, (ii) involvement of intermediary entities without any economic or business justification, (iii) elements that compensate or exclude each other and (iv) other actions with a similar effect to the previously mentioned, may be considered as prerequisites of artificial activities subject to GAAR. The new regulation will require significantly more judgment in assessment of the tax consequences of individual transactions.

The GAAR clause is effective with respect to transactions executed following its entry into force and transactions that were carried out before, but the benefits were / are being derived after the date of its entry into force. Implementation of the above provisions will enable the Polish tax authorities to challenge legal arrangements used by the taxpayers such as group restructurings and reorganizations.

Deferred tax assets and deferred tax provisions are presented separately in the balance sheet.

4.20. Recognition of revenues

Revenues are recognized in the amount to which it is probable that the Company will obtain the economic benefits which may be valued credibly.

4.20.1. Sales of merchandise and products

Revenues are captured when the significant risk and benefits arising from the title to the merchandise or products are transferred to the buyer. Revenues include due or obtained amounts from sales minus value added tax.

Revenues on sales of services are presented as revenues on sales of products. These revenues are recognized at the time of completion of the service. Revenues related to the benefits from the sale of services to suppliers of goods (e.g. marketing services), the Group presents as a deduction in cost of goods purchased from such vendors.

4.20.2. Interest

Interest income is recognized at the time it is accrued (using the effective interest rate) if its receipt is not doubtful.

4.20.3. Dividends

Dividends due are posted as financial income as at the date of adoption of the resolution, by the Shareholder Meeting of the company in which the entity has invested, to distribute the profit by way of a dividend unless the resolution specifies another dividend right day.

4.20.4. Subsidies and grants

Subsidies and grants are carried at fair value in situations where there is sufficient certainty that the subsidy will be obtained and that all the conditions necessary to obtain the subsidy will be fulfilled. If the subsidy or grant is related to a cost item, then it is deferred in the balance sheet and regularly captured in the relevant income item in a manner ensuring commensurability with the costs intended to be offset by the subsidy.

If the purpose of the subsidy or grant is to finance the purchase or manufacturing of a fixed asset, then it is deferred in the balance sheet and captured as income throughout the period of depreciation of the fixed asset.

4.20.5. Social assets and liabilities of the Company Social Benefit Fund (ZFŚS)

Pursuant to the Company Social Benefit Fund Act of 4 March 1994 (as amended), the Company Social Benefit Fund must be established by employers employing at least 20 employees on an FTE basis. The Company does not charge and does not have funds for the Social Fund in accordance with paragraph 15 of the Remuneration Bylaws (consolidated version of 31 October 2013, as amended).

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2016
Balance sheet

BALANCE SHEET

Assets

<i>(in thousands of PLN)</i>	<i>Note</i>	<i>As at 31 December 2016</i>	<i>As at 31 December 2015</i>
A. Non-current assets		1,237,533	848,301
I. Intangible assets	6	10,439	9,832
3. Other intangible assets		10,439	9,832
II. Property, plant and equipment	7	456,604	235,488
1. Fixed assets		422,970	213,782
a) land (including the right of usufruct to land)		68,264	21,284
b) buildings, premises, rights to premises and civil and marine engineering facilities		134,048	24,206
c) plant and equipment		114,065	88,415
d) means of transport		17,343	9,469
e) other fixed assets		89,250	70,408
2. Fixed assets under construction		33,634	21,706
III. Long-term receivables		-	-
IV. Long-term investments	8.1	727,151	522,397
3. Long-term financial assets		727,151	522,397
a) in related entities		727,151	522,397
- ownership interests or shares		727,151	522,397
V. Long-term prepayments and accruals	9	43,339	80,584
1. Deferred income tax assets		12,105	7,706
2. Other accruals and deferred income		31,234	72,878
B. Current assets		484,944	336,913
I. Inventories	24	270,798	209,431
4. Merchandise		270,798	209,431
II. Short-term receivables		49,827	28,331
1. Receivables from related entities		908	1,370
a) for goods and services with a term of payment:		510	504
- up to 12 months		510	504
b) other		398	866
3. Receivables from other entities		48,919	26,961
a) for goods and services with a term of payment:		25,275	12,644
- up to 12 months		25,275	12,644
b) on taxes, subsidies, customs duties, social security and health insurance or other public dues		17,607	8,229
c) other		6,037	6,088
III. Short-term investments		121,914	55,158
1. Short-term financial assets		121,914	55,158
a) in related entities	8.2	67,682	29,301
- other securities		22,179	-
- loans granted		45,503	29,301
c) cash and other cash assets	33	54,232	25,857
- cash on hand and on accounts		35,743	20,266
- other cash		18,489	5,591
IV. Short-term prepayments and accruals	9	42,405	43,993
C. Contributions due to share capital		-	-
D. Treasury stock		-	-
Total assets		1,722,477	1,185,214

Liabilities and equity

The balance sheet should be analyzed together with the notes and explanations, which constitute an integral part of the financial statements

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Financial statements for the year ended 31 December 2016
Balance sheet

<i>(in thousands of PLN)</i>	<i>Note</i>	<i>As at 31 December 2016</i>	<i>As at 31 December 2015</i>
A. Equity		558,154	278,706
I. Share capital	10	9,804	9,804
II. Supplementary capital		268,902	234,475
III. Revaluation reserve (fund)		-	-
IV. Other reserve capital		-	-
V. Profit (loss) brought forward		-	-
VI. Net profit (loss)		279,448	34,427
VII. Charges to net profit during the financial year (negative figure)		-	-
B. Liabilities and provisions for liabilities		1,164,323	906,508
I. Provisions for liabilities	13	19,323	8,820
1. Deferred income tax provision		12,426	8,076
2. Provision for pension and similar benefits		6,897	744
- long-term		1,024	683
- short-term		5,873	61
II. Long-term liabilities	15	377,622	345,461
3. To other entities		377,622	345,461
a) loans and borrowings	11	306,957	296,431
c) other financial liabilities	11	70,665	49,030
III. Current liabilities		755,462	543,704
1. Liabilities towards related entities		188,756	100,281
a) for goods and services with a maturity of		119,171	87,814
- up to 12 months		119,171	87,814
b) other		69,585	12,467
3. Liabilities to other entities		566,706	443,423
a) loans and borrowings	11	60,413	58,436
c) other financial liabilities	11	38,051	32,374
d) for goods and services with a maturity of		410,105	309,361
- up to 12 months		410,105	309,361
g) on taxes, customs duties, social security and health insurance or other public dues		28,507	18,067
h) payroll		20,402	14,585
i) other		9,228	10,600
IV. Accruals	17	11,916	8,523
2. Other accruals and deferred income		11,916	8,523
- short-term		11,916	8,523
Total liabilities and equity		1,722,477	1,185,214

The balance sheet should be analyzed together with the notes and explanations, which constitute an integral part of the financial statements

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2016
Profit and loss account

PROFIT AND LOSS ACCOUNT (COMPARABLE VERSION)

<i>(in thousands of PLN)</i>	<i>Note</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
A. Net revenues on sales and equivalents of which:	21	3,357,936	2,578,237
- from related entities		6,184	2,246
I. Net revenues on the sales of products and services		6,369	5,270
IV. Net revenues on sales of merchandise and materials		3,351,567	2,572,967
B. Operating expenses		(3,255,699)	(2,509,252)
I. Depreciation and amortization		(43,059)	(33,137)
II. Material and energy consumption		(48,885)	(39,971)
III. External Services		(250,366)	(191,943)
IV. Taxes and charges, including:		(10,511)	(7,824)
V. Salaries		(262,095)	(191,579)
VI. Social security and other benefits, of which:		(55,392)	(42,546)
- pension		(23,792)	(18,177)
VII. Other expenses by kind		(12,371)	(10,852)
VIII. Merchandise and materials sold		(2,573,020)	(1,991,400)
C. Sales profit / loss (A – B)		102,237	68,985
D. Other operating income	27	2,080	3,014
I. Profit on disposal of non-financial non-current assets		-	61
III. Revaluation of non-financial assets		-	-
IV. Other operating income		2,080	2,953
E. Other operating expenses	28	(1,980)	(858)
I. Loss on disposal of non-financial non-current assets		(754)	-
III. Other operating expenses		(1,226)	(858)
F. Operating profit (loss) (C+D-E)		102,337	71,141
G. Financial income	29	232,264	704
I. Dividends and profit sharing, including:		229,169	-
a) from related entities, of which:		229,169	-
- in which the entity has capital exposure		229,169	-
II. Interest, including:		3,065	697
- from related entities		2,685	684
V. Other		30	7
H. Financial expenses	30	(38,571)	(31,820)
I. Interest, including:		(31,952)	(26,715)
- to related entities		(3,859)	(2,281)
IV. Other		(6,619)	(5,105)
I. Gross profit (loss) (F + G + H)		296,030	40,025
J. Income tax	26	(16,582)	(5,598)
L. Net profit (loss) (I – J – K)		279,448	34,427

The profit and loss account should be analyzed together with the notes and explanations, which constitute an integral part of the financial statements

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2016
Statement of changes in equity

STATEMENT OF CHANGES IN EQUITY

<i>(in thousands of PLN)</i>	<i>Note</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
I. Equity at the beginning of the period (OB)		278,706	244,279
I.a. Equity at the beginning of the period (OB), adjusted		278,706	244,279
1. Share capital at the beginning of the period		9,804	9,804
1.2. Share capital at the end of the period		9,804	9,804
2. Supplementary capital at the beginning of the period		234,475	220,185
2.1. Changes in supplementary capital		34,427	14,290
a) increase (by virtue of)		34,427	14,290
- profit distribution		34,427	14,290
2.2. Balance of supplementary capital at the end of the period		268,902	234,475
3. Revaluation reserve at the beginning of the period		-	-
3.1. Changes in the revaluation reserve		-	-
3.2. Revaluation reserve at the end of the period		-	-
4. Other reserve capital at the beginning of the period		-	-
4.1. Change in other reserve capital		-	-
4.2. Other reserve capital at the end of the period		-	-
5. Profit (loss) brought forward at the beginning of the period		34,427	14,290
5.1. Profit carried forward at the beginning of the period		34,427	14,290
5.2. Profit carried forward at the beginning of the period, adjusted		34,427	14,290
b) decrease		(34,427)	(14,290)
- distribution of profits brought forward		(34,427)	(14,290)
5.3. Profit brought forward at the end of the period		-	-
5.4. Loss brought forward at the beginning of the period		-	-
5.5. Loss brought forward at the beginning of the period, adjusted		-	-
5.6. Losses brought forward at the end of the period		-	-
5.7. Profit (loss) brought forward at the end of the period		-	-
6. Net profit		279,448	34,427
a) net profit		279,448	34,427
II. Equity at the end of the period (CB)		558,154	278,706
III. Equity after considering the proposed distribution of profits (coverage of losses)		558,154	278,706

The statement of changes in equity should be analyzed together with the notes and explanations, which constitute an integral part of the financial statements

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2016
Cash Flow Statement

CASH FLOW STATEMENT (INDIRECT METHOD)

<i>(in thousands of PLN)</i>	<i>Note</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
A. Cash flows from operating activities			
I. Net profit (loss)		279,448	34,427
II. Total adjustments		(14,660)	167,946
1. Depreciation and amortization		43,059	33,137
3. Interest and profit sharing (dividends)	34	(193,756)	31,123
4. Profit (loss) on investing activity	34	754	86
5. Change in the balance of provisions		10,504	(617)
6. Change in the balance of inventories		(61,367)	(27,221)
7. Change in the balance of receivables		(21,506)	(13,341)
8. Movement in current liabilities, except for loans and advances	34	165,426	101,208
9. Change in the balance of accruals		42,226	43,571
III. Net cash flow on operating activity (I±II)		264,788	202,373
B. Cash flows from investing activities			
I. Inflows		58,880	9,803
1. Sale of intangible assets and property, plant and equipment		3,583	6,651
3. From financial assets, including:		55,297	3,152
a) in related entities		54,917	3,139
b) in other entities		380	13
- interest		380	13
II. Outflows		(248,640)	(101,810)
1. Purchase of intangible assets and property, plant and equipment		(180,413)	(75,344)
3. Towards financial assets, including:		(68,227)	(26,466)
a) in related entities		(68,227)	(26,466)
III. Net cash flow on investing activity (I-II)		(189,760)	(92,007)
C. Cash flows on financing activity			
I. Inflows		152,392	204,066
2. Loans and borrowings		152,392	204,066
II. Outflows		(199,045)	(310,773)
4. Repayment of loans and borrowings		(122,325)	(251,137)
7. Payments of liabilities under financial lease agreements		(40,253)	(27,861)
8. Interest		(30,392)	(27,126)
9. Other financial expenditures		(6,075)	(4,649)
III. Net cash flow on financing activity (I-II)		(46,653)	(106,707)
D. Total net cash flow (A.III±B.III±C.III)		28,375	3,659
E. Balance sheet movement in cash, including		28,375	3,659
F. Cash and cash equivalents at the beginning of the period		25,857	22,198
G. Cash at the end of the period (F±D), including		54,232	25,857
- restricted cash		-	-

The cash flow statement should be analyzed together with notes and explanations, which constitute an integral part of the financial statements

NOTES AND EXPLANATIONS

1. INFORMATION ABOUT SIGNIFICANT EVENTS CONCERNING THE PREVIOUS YEARS CAPTURED IN THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR

Up to the date of preparing the financial statements for the financial year, i.e. until 27 February 2017, no significant events occurred during previous years that should be captured in the financial year's financial statements.

2. INFORMATION ABOUT SIGNIFICANT EVENTS THAT OCCURRED AFTER THE BALANCE SHEET DATE AND THAT HAVE NOT BEEN CAPTURED IN THE FINANCIAL STATEMENTS

After the balance sheet date and up to the date of drawing up the financial statements for the financial year, i.e. until 27 February 2017, no significant events occurred that were not captured in the financial year's financial statements.

3. CHANGES IN THE ACCOUNTING PRINCIPLES (POLICIES) IN THE FINANCIAL YEAR

Financial statements for the current and previous financial year have been made using the same accounting principles (policies) and data presentation methods in the financial statements.

4. CORRECTION OF ERRORS

During the financial year there were no corrections of errors which could have impact on comparability of the financial data for the previous year and the data from the financial statements for the current financial year.

5. COMPARABILITY OF THE FINANCIAL DATA FOR THE PREVIOUS YEAR AND THE DATA FROM THE FINANCIAL STATEMENTS FOR THE CURRENT FINANCIAL YEAR

Change in the presentation layout of the profit and loss account

Pursuant to the amendment of the Accounting Act of 23 July 2015, the Company changed the presentation layout of the profit and loss account. In the financial year ended 31 December 2015 there were no events classified as extraordinary profit or loss and, as a consequence, the Company did not convert such comparative data.

Other changes and/or adjustments

In the current year the Company did not make any changes to the accounting policies or correct any errors and consequently it was not obligated to present figures ensuring comparability of the financial statements for the previous financial year with the financial statements for the current financial year.

6. INTANGIBLE ASSETS

Year ended 31 December 2016

<i>(in thousands of PLN)</i>	<i>Costs of completed development work</i>	<i>Goodwill</i>	<i>Other intangible assets</i>	<i>Advance payments towards intangible assets</i>	<i>Total</i>
Initial value					
Opening balance	-	-	14,367	-	14,367
Increases, including:	-	-	2,716	-	2,716
Purchase	-	-	2,716	-	2,716
Decreases, including:	-	-	(22)	-	(22)
Decreases	-	-	(22)	-	(22)
Closing balance	-	-	17,061	-	17,061

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Financial statements for the year ended 31 December 2016
Notes and explanations

Depreciation

Opening balance	-	-	4,535	-	4,535
Increases, including:	-	-	2,109	-	2,109
Depreciation in the period	-	-	2,109	-	2,109
Decreases, including:	-	-	(22)	-	(22)
Decreases	-	-	(22)	-	(22)
Other	-	-	-	-	-
Closing balance	-	-	6,622	-	6,622

Net value

Opening balance	-	-	9,832	-	9,832
Closing balance	-	-	10,439	-	10,439

Year ended 31 December 2015

<i>(in thousands of PLN)</i>	<i>Costs of completed development work</i>	<i>Goodwill</i>	<i>Other intangible assets</i>	<i>Advance payments towards intangible assets</i>	<i>Total</i>
<u>Initial value</u>					
Opening balance	-	-	26,095	-	26,095
Increases, including:	-	-	3,298	-	3,298
Purchase	-	-	3,298	-	3,298
Decreases, including:	-	-	(15,026)	-	(15,026)
Decreases	-	-	(15,026)	-	(15,026)
Closing balance	-	-	14,367	-	14,367
<u>Depreciation</u>					
Opening balance	-	-	6,128	-	6,128
Increases, including:	-	-	1,850	-	1,850
Depreciation in the period	-	-	1,850	-	1,850
Decreases, including:	-	-	(3,443)	-	(3,443)
Decreases	-	-	(3,443)	-	(3,443)
Closing balance	-	-	4,535	-	4,535
<u>Net value</u>					
Opening balance	-	-	19,966	-	19,966
Closing balance	-	-	9,832	-	9,832

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Financial statements for the year ended 31 December 2016
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7. PROPERTY, PLANT AND EQUIPMENT

Year ended 31 December 2016

<i>(in thousands of PLN)</i>	<i>Land</i>	<i>of which: Perpetual usufruct right to land</i>	<i>Buildings, premises, rights to premises and civil and marine engineering facilities</i>	<i>Technical equipment and machinery</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Construction in progress</i>	<i>Total</i>
<u>Initial value</u>								
Opening balance	21,284	1,102	27,623	124,146	13,640	114,608	21,706	323,007
Increases, including:	-	-	-	-	-	-	266,466	266,466
Purchase	-	-	-	-	-	-	266,466	266,466
Transfers	46,980	3,275	112,962	43,692	10,833	36,867	(251,334)	-
Decreases, including:	-	-	(510)	(881)	(726)	(3,609)	(3,204)	(8,930)
Liquidation and sale	-	-	(510)	(881)	(726)	(3,609)	(3,204)	(8,930)
Closing balance	68,264	4,377	140,075	166,957	23,747	147,866	33,634	580,543
<u>Depreciation</u>								
Opening balance	-	-	3,417	35,731	4,171	44,200	-	87,519
Increases, including:	-	-	2,748	17,628	2,891	17,683	-	40,950
Depreciation in the period	-	-	2,748	17,628	2,891	17,683	-	40,950
Decreases, including:	-	-	(138)	(467)	(658)	(3,267)	-	(4,530)
Liquidation and sale	-	-	(138)	(467)	(658)	(3,267)	-	(4,530)
Closing balance	-	-	6,027	52,892	6,404	58,616	-	123,939
<u>Net value</u>								
Opening balance	21,284	1,102	24,206	88,415	9,469	70,408	21,706	235,488
Closing balance	68,264	4,377	134,048	114,065	17,343	89,250	33,634	456,604

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2016
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Year ended 31 December 2015

<i>(in thousands of PLN)</i>	<i>Land</i>	<i>of which: Perpetual usufruct right to land</i>	<i>Buildings, premises, rights to premises and civil and marine engineering facilities</i>	<i>Technical equipment and machinery</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Construction in progress</i>	<i>Total</i>
<u>Initial value</u>								
Opening balance	68	-	13,089	96,315	7,454	93,529	8,154	218,609
Increases, including:	-	-	-	-	-	-	127,377	127,377
Purchase	-	-	-	-	-	-	127,377	127,377
Transfers	21,216	1,102	14,536	29,702	6,405	21,271	(93,130)	-
Decreases, including:	-	-	(2)	(1,871)	(219)	(192)	(20,695)	(22,979)
Liquidation and sale	-	-	(2)	(1,871)	(219)	(192)	(20,695)	(22,979)
Closing balance	21,284	1,102	27,623	124,146	13,640	114,608	21,706	323,007
<u>Depreciation</u>								
Opening balance	-	-	2,045	24,449	2,271	29,533	-	58,298
Increases, including:	-	-	1,374	13,251	2,009	14,824	-	31,458
Depreciation in the period	-	-	1,374	13,251	2,009	14,824	-	31,458
Decreases, including:	-	-	(2)	(1,969)	(109)	(157)	-	(2,237)
Liquidation and sale	-	-	(2)	(1,969)	(109)	(157)	-	(2,237)
Closing balance	-	-	3,417	35,731	4,171	44,200	-	87,519
<u>Net value</u>								
Opening balance	68	-	11,044	71,866	5,183	63,996	8,154	160,311
Closing balance	21,284	1,102	24,206	88,415	9,469	70,408	21,706	235,488

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Financial statements for the year ended 31 December 2016
Notes and explanations

As at 31 December 2016, the value of land in perpetual usufruct was PLN 4,377 thousand (PLN 1,102 thousand as at 31 December 2015).

As at 31 December 2016, fixed assets with the net value of PLN 152,903 thousand were used on the basis of financial lease agreements (PLN 121,792 thousand as at 31 December 2015).

As at 31 December 2016, based on operational leasing, rental, lease and other agreements (except for financial lease agreements), the Company used fixed assets with the value of approx. PLN 781,770 thousand (PLN 636,704 thousand as at 31 December 2015).

Capital expenditures carried out in the current financial year were PLN 266,466 thousand (PLN 130,674 thousand in 2015). In 2016 and in 2015, there were no expenditures related to environmental protection. The capital expenditures planned for 2017 are PLN 132,000 thousand.

As at 31 December 2016 and 31 December 2015, the Company did not have any liabilities towards the state budget or local government units by virtue of obtaining the ownership right to buildings and structures or cost of service (including exchange gains and losses) of liabilities incurred to finance fixed assets under construction captured in the manufacturing cost (purchase price).

8. INVESTMENTS

8.1. Long-term investments

Year ended 31 December 2016

<i>(in thousands of PLN)</i>	<i>Real estate</i>	<i>Intangible assets</i>	<i>Long-term financial assets in related entities</i>	<i>Long-term financial assets in other entities in which the entity has capital exposure</i>	<i>Long-term financial assets in other entities</i>	<i>Total</i>
Opening balance, including:	-	-	522,397	-	-	522,397
Gross value	-	-	522,397	-	-	522,397
Increases, including:	-	-	613,387	-	-	613,387
Purchase	-	-	613,387	-	-	613,387
Decreases, including:	-	-	(408,633)	-	-	(408,633)
Other	-	-	(408,633)	-	-	(408,633)
Closing balance, including:	-	-	727,151	-	-	727,151
Gross value	-	-	727,151	-	-	727,151

In connection with reorganization of the Group aimed at sorting out its structure, the process of liquidation of Vitrena Holdings Ltd. and Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych was started. As a result of the undertaken efforts, the Company's shareholding in the capital of Vitrena Holding Ltd. dropped from PLN 406,833 thousand to PLN 4 thousand and the investment certificates of Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych in the amount of PLN 636,436 were redeemed. In 2016 the Company acquired shares in Centrum Wynajmu Nieruchomości 1-6 S.A. in the amount of PLN 613,385 thousand.

Year ended 31 December 2015

<i>(in thousands of PLN)</i>	<i>Real estate</i>	<i>Intangible assets</i>	<i>Long-term financial assets in related entities</i>	<i>Long-term financial assets in other entities in which the entity has capital exposure</i>	<i>Long-term financial assets in other entities</i>	<i>Total</i>
Opening balance, including:	-	-	510,769	-	-	510,769
Gross value	-	-	510,769	-	-	510,769
Increases, including:	-	-	11,628	-	-	11,628
Purchase	-	-	11,628	-	-	11,628
Closing balance, including:	-	-	522,397	-	-	522,397
Gross value	-	-	522,397	-	-	522,397

8.2. Short-term investments

Short-term investments, without cash and other cash assets, include:

Year ended 31 December 2016

<i>(in thousands of PLN)</i>	<i>Ownership interests and shares</i>	<i>Other securities</i>	<i>Loans granted</i>	<i>Total</i>
Opening balance, including:	-	-	29,301	29,301
Gross value	-	-	29,301	29,301
Increases, including:	-	40,218	70,913	111,131
Purchase	-	40,218	70,913	111,131
Decreases, including:	-	(18,039)	(54,711)	(72,750)
Other	-	(18,039)	(54,711)	(72,750)
Closing balance, including:	-	22,179	45,503	67,682
Gross value	-	22,179	45,503	67,682

Year ended 31 December 2015

<i>(in thousands of PLN)</i>	<i>Ownership interests and shares</i>	<i>Other securities</i>	<i>Loans granted</i>	<i>Total</i>
Opening balance, including:	-	-	5,305	5,305
Gross value	-	-	5,305	5,305
Increases, including:	-	-	26,451	26,451
Other – granting of loans	-	-	26,451	26,451
Decreases, including:	-	-	(2,455)	(2,455)
Other – repayment of loans	-	-	(2,455)	(2,455)
Closing balance, including:	-	-	29,301	29,301
Gross value	-	-	29,301	29,301

9. PREPAYMENTS AND ACCRUALS

<i>(in thousands of PLN)</i>	<i>31 December 2016</i>	<i>31 December 2015</i>
Deferred income tax assets	12,105	7,706
Other, including:	31,234	72,878
- costs of rent	31,234	72,878
Total long-term	43,339	80,584
Costs of rent	41,657	43,526
Costs of insurance	536	283
Other	212	184
Total short-term	42,405	43,993

10. CAPITAL

As at 31 December 2016, the Company's share capital was PLN 9,804 thousand and was divided into 98,040,000 shares with a par value of PLN 0.10 each.

As at 31 December 2015, the Company's share capital was PLN 9,804 thousand and was divided into 9,804,000 shares with a par value of PLN 1.00 each.

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2016
Notes and explanations

As at the balance sheet date, the ownership structure of the Company's share capital was as follows:

31 December 2016

	<i>Number of shares</i>	<i>Number of votes</i>	<i>Par value per share</i>	<i>Stake in the share capital</i>
Shareholder Tomasz Biernacki	50,000,000	50,000,000	0.10	51%
Shareholder Polish Sigma Group S.a.r.l.	48,040,000	48,040,000	0.10	49%
Total				100%

31 December 2015

	<i>Number of shares</i>	<i>Number of votes</i>	<i>Par value per share</i>	<i>Stake in the share capital</i>
Shareholder Tomasz Biernacki	5,000,000	5,000,000	1	51%
Shareholder Polish Sigma Group S.a.r.l.	4,804,000	4,804,000	1	49%
Total				100%

On 1 December 2016, the Extraordinary Shareholder Meeting adopted a resolution on the split of the Shares by decreasing the par value per Share and increasing the number of Shares without lowering the Company's share capital. The number of Shares increased from 9,804,000 to 98,040,000. In accordance with the above resolution, the swap ratio of all Shares in the Company is 1:10, i.e. each Share in the Company with a par value of PLN 1.00 each is swapped for 10 Shares in the Company with a par value of PLN 0.10 each. This change was registered by the appropriate court of registration on 27 December 2016.

11. INTEREST-BEARING BANK LOANS, BORROWINGS AND OTHER FINANCIAL LIABILITIES

<i>(in thousands of PLN)</i>	<i>31 December 2016</i>	<i>31 December 2015</i>
<i>Short-term</i>		
Finance lease liabilities and lease agreements with a purchase option	38,051	32,374
Overdrafts	1,613	8,612
Investment loans	53,636	46,977
Loans for financing current operations	4,755	2,847
Loan	409	-
Total short-term	98,464	90,810
<i>Long-term</i>		
Finance lease liabilities and lease agreements with a purchase option	70,665	49,030
Investment loans	285,484	284,184
Loans for financing current operations	19,998	12,247
Loan	1,475	-
Total long-term	377,622	345,461

12. DISTRIBUTION OF PROFIT

12.1. Distribution of profit earned in the previous year

The Ordinary Shareholder Meeting held on 28 April 2016 adopted a resolution to transfer the profit for the previous year to the supplementary capital.

12.2. Distribution of profit

The financial statements were prepared prior to the adoption of the resolution on the allocation of the current year's profit. The Management Board will propose a transfer of profit for the financial year to the Company's supplementary capital.

13. PROVISIONS

The following changes in the balance of provisions occurred In the reporting periods covered by the financial statements:

Year ended 31 December 2016

<i>(in thousands of PLN)</i>	<i>Deferred income tax provision</i>	<i>Provision for pension and similar benefits</i>	<i>Benefits under the incentive program</i>	<i>Total</i>
Balance as at 1 January 2016	8,076	744	-	8,820
Increases	4,350	487	5,666	10,503
Balance as at 31 December 2016, including:	12,426	1,231	5,666	19,323
Long-term	12,426	1,024	-	13,450
Short-term	-	207	5,666	5,873

The terms of the incentive program are described in Notes 37 and 47.

Year ended 31 December 2015

<i>(in thousands of PLN)</i>	<i>Deferred income tax provision</i>	<i>Provision for pension and similar benefits</i>	<i>Total</i>
Balance as at 1 January 2015	8,929	509	9,438
Increases	-	235	235
Reversal	(853)	-	(853)
Balance as at 31 December 2015, including:	8,076	744	8,820
Long-term	8,076	683	8,759
Short-term	-	61	61

14. IMPAIRMENT LOSSES ON RECEIVABLES

Year ended 31 December 2016

<i>(in thousands of PLN)</i>	<i>Impairment losses on long-term receivables</i>	<i>Impairment losses on short-term receivables</i>
Balance as at 1 January 2016	-	370
Increases	-	160
- on account of cash-in-hand shortages	-	22
- impairment losses on settlements	-	138
Utilization	-	(11)
- on account of cash-in-hand shortages	-	(11)
Reversal	-	(10)
- impairment losses on settlements	-	(10)
Balance as at 31 December 2016	-	509

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<i>(in thousands of PLN)</i>	<i>Impairment losses on long-term receivables</i>	<i>Impairment losses on short-term receivables</i>
Balance as at 1 January 2015	-	2,123
Increases	-	17
- on account of cash-in-hand shortages	-	17
Utilization	-	-
Reversal	-	(1,770)
- on account of cash-in-hand shortages	-	(12)
- impairment losses on settlements	-	(1,758)
Balance as at 31 December 2015	-	370

15. LONG-TERM LIABILITIES

Age structure of long-term liabilities:

31 December 2016

<i>(in thousands of PLN)</i>	<i>within 1 year</i>	<i>1-3 years</i>	<i>3-5 years</i>	<i>above 5 years</i>	<i>Total</i>
Long-term liabilities towards related entities	-	-	-	-	-
Towards other entities to which the company has capital exposure	-	-	-	-	-
Long-term liabilities towards other entities, of which:	98,464	177,611	155,360	44,651	476,086
a) bank loans and borrowings	60,413	126,707	135,599	44,651	367,370
d) under financial lease agreements	38,051	50,904	19,761	-	108,716
Long-term liabilities, total as at 31 December 2016	98,464	177,611	155,360	44,651	476,086

31 December 2015

<i>(in thousands of PLN)</i>	<i>within 1 year</i>	<i>1-3 years</i>	<i>3-5 years</i>	<i>above 5 years</i>	<i>Total</i>
Long-term liabilities towards related entities	-	-	-	-	-
Towards other entities to which the company has capital exposure	-	-	-	-	-
Long-term liabilities towards other entities, of which:	90,810	172,672	112,178	60,611	436,271
a) bank loans and borrowings	58,436	134,514	101,314	60,604	354,868
d) under financial lease agreements	32,374	38,158	10,864	7	81,403
Total long-term liabilities as at 31 December 2015	90,810	172,672	112,178	60,611	436,271

16. SOCIAL ASSETS AND LIABILITIES

The Social Benefits Fund Act of 4 March 1994, as amended, requires companies employing 20 or more staff to establish and run a company social benefit fund.

In the years ended 31 December 2016 and 31 December 2015, there were no social assets or liabilities. In accordance with paragraph 15 of the Remuneration Bylaws (consolidated version of 31 October 2013, as amended), the Company does not charge and does not recognize funds on account of the Company Social Benefit Fund.

17. ACCRUALS AND DEFERRED INCOME

<i>(in thousands of PLN)</i>	<i>31 December 2016</i>	<i>31 December 2015</i>
1. Negative goodwill	-	-
2a. Total other long-term accruals and deferred income	-	-
2b. Total other short-term accruals and deferred income	11,916	8,523
Other, including:	11,916	8,523
- provision for unused holiday leaves	11,816	8,377
- provision for an audit of the financial statements	105	36
- other	-	110
Total accruals and deferred income	11,916	8,523

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18. LIABILITIES SECURED ON THE ENTITY'S ASSETS

The Company had the following liabilities secured on its assets (in thousands of PLN):

31 December 2016

<i>Type of liability</i>	<i>Date of contract</i>	<i>Balance of liabilities as at 31 December 2016* (PLN thousand)</i>	<i>Interest rate</i>	<i>Date of repayment</i>	<i>Type of security</i>
1. Loan agreement with BPH	2011-10-21	27,290	WIBOR + margin	2021-10-20	joint contractual mortgage, assignment of rights under the insurance policy
2. Loan agreement with mBank	2013-11-22	2,502	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights under the insurance policy
3. Loan agreement with mBank	2012-03-08	7,565	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights under the insurance policy
4. Loan agreement with PKO BP	2012-01-26	-	WIBOR + margin	2017-10-28	joint contractual mortgage, assignment of rights under the insurance policy
5. Loan agreement with PKO BP	2011-04-13	4,904	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights under the insurance policy
6. Loan agreement with PKO BP	2013-05-23	55,069	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights under the insurance policy
7. Loan agreement with PKO BP	2016-10-25	63,682	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights under the insurance policy
8. Debt limit agreement with Raiffeisen	2011-12-20	-	WIBOR + margin	2018-11-30	transfer of debts due to cards payment
9. Loan agreement with BZ WBK	2012-07-31	26,274	WIBOR + margin	2022-07-31	joint contractual mortgage, assignment of rights under the insurance policy
10. Loan agreement with BZ WBK	2012-08-31	1,159	WIBOR + margin	2017-08-31	joint contractual mortgage, assignment of rights under the insurance policy
11. Loan agreement with BZ WBK	2014-02-20	12,366	WIBOR + margin	2019-02-28	joint contractual mortgage, assignment of rights under the insurance policy
12. Loan agreement with mBank	2014-01-09	21,698	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights under the insurance policy
13. Loan agreement with ING	2014-04-15	45,834	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights under the insurance policy
14. Loan agreement with BPH	2011-04-20	-	WIBOR + margin	2017-07-18	joint contractual mortgage, assignment of rights under the insurance policy
15. Loan agreement with Bank Millennium	2014-12-18	12,862	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights under the insurance policy
16. Loan agreement with mBank	2015-04-17	21,154	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights under the insurance policy

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17. Loan agreement with BZ WBK	2015-02-05	23,130	WIBOR + margin	2020-01-31	joint contractual mortgage, assignment of rights under the insurance policy
18. Loan agreement with BZ WBK	2014-07-31	3,875	WIBOR + margin	2019-07-31	joint contractual mortgage, assignment of rights under the insurance policy
19. Loan agreement with ING	2014-04-15	45	WIBOR + margin	2018-04-14	joint contractual mortgage, assignment of rights under the insurance policy
20. Loan agreement with Bank Millennium	2012-04-27	410	WIBOR + margin	2017-06-25	joint contractual mortgage, assignment of rights under the insurance policy
21. Loan agreement with BZ WBK	2016-09-30	19,939	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights under the insurance policy
22. Loan agreement with mBank	2016-08-16	4,785	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights under the insurance policy
23. Loan agreement with mBank	2016-04-11	-	WIBOR + margin	2017-10-10	joint contractual mortgage, assignment of rights under the insurance policy
24. Loan agreement with Bank Millennium	2016-05-12	11,890	WIBOR + margin	2021-05-11	joint contractual mortgage, assignment of rights under the insurance policy
25. Loan from Siemens	2016-02-24	1,884	WIBOR + margin	2021-02-28	promissory note
TOTAL		368,317			

31 December 2015

<i>Type of liability</i>	<i>Date of contract</i>	<i>Balance of liabilities as at 31 December 2015* (PLN thousand)</i>	<i>Interest rate</i>	<i>Date of repayment</i>	<i>Type of security</i>
1. Loan agreement with BPH	2011-10-21	32,378	WIBOR + margin	2021-10-20	joint contractual mortgage, assignment of rights under the insurance policy
2. Loan agreement with mBank	2013-11-22	2,868	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights under the insurance policy
3. Loan agreement with mBank	2012-03-08	9,078	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights under the insurance policy
4. Loan agreement with PKO BP	2011-04-13	1,809	WIBOR + margin	2018-10-12	joint contractual mortgage, assignment of rights under the insurance policy
5. Loan agreement with PKO BP	2011-04-13	5,927	WIBOR + margin	2021-04-11	joint contractual mortgage, assignment of rights under the insurance policy
6. Loan agreement with PKO BP	2013-05-23	65,000	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights under the insurance policy
7. Loan agreement with Bank Millennium	2012-04-27	1,431	WIBOR + margin	2016-06-25	contractual mortgage, assignment of rights under the insurance policy
8. Loan agreement with PKO BP	2012-01-26	627	WIBOR + margin	2016-10-28	joint contractual mortgage, assignment of rights under the insurance policy

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9. Loan agreement with PKO BP	2011-11-22	27,000	WIBOR + margin	2017-11-21	joint contractual mortgage, assignment of rights under the insurance policy
10. Loan agreement with PKO BP	2012-12-05	30,205	WIBOR + margin	2018-12-04	joint contractual mortgage, assignment of rights under the insurance policy
11. Debt limit agreement with Raiffeisen	2011-12-20	1,269	WIBOR + margin	2016-12-02	transfer of debts due to cards payment
12. Loan agreement with BZ WBK	2012-07-31	30,980	WIBOR + margin	2022-07-31	joint contractual mortgage, assignment of rights under the insurance policy
13. Loan agreement with BZ WBK	2012-08-31	1,798	WIBOR + margin	2016-08-31	joint contractual mortgage, assignment of rights under the insurance policy
14. Loan agreement with PKO BP	2013-09-04	13,600	WIBOR + margin	2019-09-04	joint contractual mortgage, assignment of rights under the insurance policy
15. Loan agreement with BZ WBK	2014-02-20	13,896	WIBOR + margin	2019-02-28	joint contractual mortgage, assignment of rights under the insurance policy
16. Loan agreement with mBank	2014-01-09	24,884	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights under the insurance policy
17. Loan agreement with ING	2014-04-15	1,097	WIBOR + margin	2016-04-14	joint contractual mortgage, assignment of rights under the insurance policy
18. Loan agreement with ING	2014-04-15	21,152	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights under the insurance policy
19. Loan agreement with BPH	2011-04-20	745	WIBOR + margin	2016-07-18	joint contractual mortgage, assignment of rights under the insurance policy
20. Loan agreement with Bank Millennium	2014-12-18	15,710	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights under the insurance policy
21. Loan agreement with mBank	2015-04-17	23,718	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights under the insurance policy
22. Loan agreement with BZ WBK	2015-02-05	25,700	WIBOR + margin	2020-01-31	joint contractual mortgage, assignment of rights under the insurance policy
23. Loan agreement with BZ WBK	2014-07-31	4,775	WIBOR + margin	2019-07-31	joint contractual mortgage, assignment of rights under the insurance policy
TOTAL		325,172			

* Balance of liabilities excluding commissions.

In addition, loan and lease liabilities are secured with blank promissory notes.

19. CONTINGENT LIABILITIES, INCLUDING GUARANTEES AND SURETIES GRANTED BY THE ENTITY AS WELL AS ONES IN THE FORM OF PROMISSORY NOTES

As at 31 December 2016, the Company had the following contingent liabilities: 1. Surety for the repayment of the PLN 14,750 thousand investment loan granted to Agro-Rydzyna Sp. z o.o. by BRE Bank S.A. under agreement no. 40/105/11/Z/IN of 14 December 2011. Floating interest rate. Final repayment date: 31 August 2021. The surety covers the principal, interest accrued on the principal and other costs.

2. Surety for the repayment of the PLN 11,350 thousand investment loan granted to Dino Krotoszyn Sp. z o.o. by PKO BP S.A. under agreement no. 50102010260000119601043363 of 25 October 2016. Floating interest rate. Final repayment date: 24 October 2024. The surety covers the principal, interest accrued on the principal and other costs. 3. Surety for the repayment of the PLN 5,000 thousand overdraft facility granted to Agro-Rydzyna Sp. z o.o. by Bank Zachodni WBK S.A. under agreement no. K00911/14 of 29 July 2014. Floating interest rate. Final repayment date: 31 August 2017. The surety covers the principal, interest accrued on the principal and other costs.

4. Surety for the repayment of the PLN 32,000 thousand investment loan granted to Centrum Wynajmu Nieruchomości Sp. z o.o. by mBank S.A. under agreement no. 40/090/16/Z/IN of 16 August 2016. Floating interest rate. Final repayment date: 30 July 2021. The surety covers the principal, interest accrued on the principal and other costs.

As at 31 December 2015, the Company had the following contingent liabilities:

1. Surety for the repayment of the PLN 14,750 thousand investment loan granted to Agro-Rydzyna Sp. z o.o. by BRE Bank S.A. under agreement no. 40/105/11/Z/IN of 14 December 2011. Floating interest rate. Final repayment date: 31 August 2021. The surety covers the principal, interest accrued on the principal and other costs.

2. Surety for the repayment of the PLN 13,968 thousand investment loan granted to Dino Krotoszyn Sp. z o.o. by PKO BP S.A. under agreement no. 74102040270000139601816586 of 14 August 2012. Floating interest rate. Final repayment date: 30 June 2022. The surety covers the principal, interest accrued on the principal and other costs.

3. Surety for the repayment of the PLN 5,000 thousand overdraft facility granted to Agro-Rydzyna Sp. z o.o. by Bank Zachodni WBK S.A. under agreement no. K00911/14 of 29 July 2014. Floating interest rate. Final repayment date: 31 August 2016. The surety covers the principal, interest accrued on the principal and other costs.

20. OTHER CONTRACTS NOT INCLUDED IN THE BALANCE SHEET

As at 31 December 2016 and 31 December 2015, the Company had no material off-balance sheet liabilities not disclosed in its financial statements.

21. STRUCTURE OF SALES BROKEN DOWN BY TYPE OF ACTIVITY AND GEOGRAPHY

The structure of sales revenues broken down by type of activity in 2016 and 2015 was as follows:

<i>Type of activity (in thousands of PLN)</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
1. Sales of services	6,369	5,270
2. Sales of merchandise	3,351,567	2,572,967
Total net sales revenues	3,357,936	2,578,237

All sales revenues in the current financial year and in the previous financial year were generated domestically.

22. IMPAIRMENT LOSSES ON FIXED ASSETS

The Company did not post any impairment losses on fixed assets.

23. INTEREST AND EXCHANGE RATE DIFFERENCES WHICH INCREASED THE PURCHASE PRICE OF MERCHANDISE OR THE COST OF MANUFACTURE OF PRODUCTS DURING THE FINANCIAL YEAR

Both in the financial year ended 31 December 2016 and in the previous financial year, the Company did not increase the purchase price of merchandise or the cost of manufacture of products by the amount of interest or exchange rate differences.

24. INVENTORIES AT NET SALES PRICE

<i>Title</i>	<i>31 December 2016</i>	<i>31 December 2015</i>
1. Goods for sale (at net realizable value)	270,798	209,431
Total inventories at net sales price	270,798	209,431

In the years ended 31 December 2016 and 31 December 2015, the Company did not create any impairment losses on its inventories.

25. INFORMATION ON REVENUES, COSTS AND RESULTS OF OPERATIONS DISCONTINUED DURING THE FINANCIAL YEAR OR PLANNED TO BE DISCONTINUED IN THE FOLLOWING YEAR

During the financial year, the Company did not discontinue any operations and does not plan to discontinue any operations in the following year.

26. INCOME TAX

The following is the reconciliation of gross profit to taxable income:

<i>(in thousands of PLN)</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
Profit/(loss) before tax	296,030	40,025
(-) Revenues of the current year not included in taxable income	(233,839)	6,213
- reversal of a provision	-	(1,545)
- adjustment of inventories at sales price	3,312	(514)
- discount on trade payables	2,011	628
- revenues of future periods	(9,779)	7,824
- other (including positive exchange rate differences and interest)	(214)	(180)
- dividends received	(229,169)	-
(+) Costs of the current year not recognized as tax-deductible expenses	21,159	2,015
- provision for unused holiday leaves and other employee benefits (including salaries/bonuses)	11,117	908
- social security (ZUS) contributions, payroll for November-December	9,216	6,909
- mandate agreements paid in the following year	392	571
- provision for other costs (including security services, energy costs, deposit-related liabilities)	12,268	2,239
- recognized impairment losses on trade receivables	138	(1,814)
- differences between tax depreciation and balance-sheet depreciation	13,506	8,294
- financial/balance-sheet operating leases	(27,206)	(16,162)

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- other (including interest and donations)	1,728	1,070
(+) Revenues generated in the previous year but subject to taxation in the current year	206	25
- interest on loan agreements	167	17
- positive exchange rate differences	39	8
(-) Costs generated in the previous year but recognized as tax-deductible expenses in the current year	(10,586)	(7,306)
- provision for salaries/bonuses	-	(339)
- social security (ZUS) contributions, payroll for November-December	(6,909)	(5,271)
- mandate agreements paid in the following year	(571)	(497)
- provision for energy costs	(2,736)	-
- other (including cost withdrawal – CIT deadline 30/90; interest)	(370)	(1,199)
Taxable income	72,970	40,972
Deductions from taxable income		
(including tax loss brought forward)	-	(2,333)
Other adjustments	(3,415)	-
Taxable base	69,555	38,639
Tax rate	19%	19%
Income tax (current)	13,215	7,341
Other adjustments	3,415	-
Movement in the deferred tax provision/asset	(48)	(1,743)
Total income tax	16,582	5,598

In 2016, the Company received a dividend from a subsidiary in which the Company held a 100% stake. The dividend benefited from an exemption from taxation due to the fact that the Company held a 100% stake in the subsidiary for a period longer than 2 years (in accordance with Article 22 of the Corporate Income Tax Act.

Regulations regarding VAT, corporate income tax, personal income tax and social security contributions are subject to frequent changes, as a result of which there is often no reference to well-established regulations or legal precedents. The regulations in force also contain uncertainties, resulting in differences in opinion regarding the legal interpretation of tax regulations both between various government authorities and between government authorities and companies. Tax settlements and other matters (e.g. customs or foreign currency related issues) may be subject to inspection by administrative bodies authorized to impose high penalties and fines, and any additional liabilities calculated as a result must be paid together with high interest. Accordingly, tax risk in Poland is higher than normally seen in countries with developed tax systems. Tax settlements may be audited within a period of five years. As a result, the amounts reported in the financial statements may change at a later date after their final determination by the tax authorities.

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The deferred income tax provisions/assets consist of the following differences:

	<i>Balance sheet</i>		<i>Profit and loss account for the year ended</i>	
	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2016</i>	<i>31 December 2015</i>
<i>Deferred income tax provision</i>				
Accelerated tax depreciation	3,755	3,332	423	(1,852)
Property, plant and equipment used under lease agreements	5,427	3,105	2,322	838
Accrued interest, unpaid as at the balance sheet date	331	32	299	24
Valuation of inventories at purchase price	-	1,108	(1,108)	98
Revenues of future periods	2,908	492	2,416	111
Prepaid interest on received loans	-	-	-	(77)
Foreign exchange gains	5	7	(2)	6
Deferred income tax provision	12,426	8,076	4,350	(852)
<i>Deferred income tax assets</i>				
Provisions for jubilee awards and retirement benefits	234	141	93	45
Provision for unused holidays	2,244	1,591	653	128
Provision for salaries/bonuses	1,368	-	1,368	(64)
Mandate agreements paid in the following year	74	108	(34)	14
Social security (ZUS) contributions, payroll for November-December	1,751	1,313	438	311
Provision decreasing inventories	4,841	4,043	798	1,049
Provision for deferred income	-	21	(21)	21
Provision for an audit of the financial statements	20	7	13	(7)
Provision for interest to be paid	86	7	79	(27)
Provision for other costs	1,448	390	1,058	276
Losses generated in 2013 deductible from future taxable income	-	-	-	(443)
Impairment losses on trade receivables	39	18	21	(280)
Exchange losses	-	2	(2)	1
Other (VAT 150 days, cost withdrawal – CIT deadline 30/90)	-	66	(66)	(131)
Deferred income tax assets	12,105	7,706	4,398	891
Deferred income tax charge			(48)	(1,743)

27. OTHER OPERATING INCOME

<i>(in thousands of PLN)</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
Profit on disposal of non-financial non-current assets, including:	-	61
- profit on disposal of fixed assets and intangible assets	-	61
Other operating income, including:	2,080	2,953

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- reversal of impairment losses on receivables	10	1,814
- indemnities received	1,375	508
- revenues on timely tax payments (0.3%)	53	40
- roundings	32	6
- other	610	585
Total other operating income	2,080	3,014

28. OTHER OPERATING EXPENSES

<i>(in thousands of PLN)</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
Loss on disposal of non-financial non-current assets, including:	754	-
- loss on disposal of fixed assets and intangible assets	754	-
Other operating expenses, including:	1,226	858
- effects of theft	274	311
- costs of liquidation of fixed assets	-	147
- donations	97	38
- litigation costs	1	11
- other	694	351
- written-off receivables	160	-
Total other operating expenses	1,980	858

29. FINANCIAL INCOME

<i>(in thousands of PLN)</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
Profit on stakes in other entities, including:	229,169	-
- profit on stakes in related entities	229,169	-
Interest, including:	3,065	697
- interest from related companies	2,685	684
- interest from other counterparties	367	-
- bank interest	13	13
Other, including:	30	7
- foreign exchange differences	-	7
- other financial income	30	-
Total financial income	232,264	704

30. FINANCIAL EXPENSES

<i>(in thousands of PLN)</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
Interest, including:	31,952	26,715
- interest for related companies	3,859	2,281
- discount on trade payables	11,526	9,077
- bank interest	13,418	12,660

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- interest on lease agreements	3,149	2,643
- other interest	-	54
Other, including:	6,619	5,105
- foreign exchange differences	46	-
- other financial expenses (commissions, sureties)	6,573	5,105
Total financial expenses	38,571	31,820

31. COST OF PRODUCTION OF FIXED ASSETS UNDER CONSTRUCTION

<i>(in thousands of PLN)</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
Costs of production of fixed assets under construction, including:	2,206	1,779
- costs of the investment department	2,206	1,779

32. REVENUES AND COSTS OF EXTRAORDINARY VALUE OR WHICH OCCURRED INCIDENTALLY

Both in the financial year ended 31 December 2016 and in the previous financial year, there were no revenues or costs of extraordinary value or which occurred incidentally.

33. STRUCTURE OF CASH RECOGNIZED IN THE CASH FLOW STATEMENT

<i>(in thousands of PLN)</i>	<i>31 December 2016</i>	<i>31 December 2015</i>
Cash in bank	26,965	14,374
- current accounts	1,835	1
- cash in transit	25,130	14,373
Cash on hand	8,778	5,892
Other cash	18,489	5,591
- short-term deposits	5,574	398
- payment cards	12,915	5,193
Total cash	54,232	25,857

34. REASONS FOR DIFFERENCES BETWEEN BALANCE SHEET CHANGES IN CERTAIN ITEMS AND CHANGES RESULTING FROM THE CASH FLOW STATEMENT

<i>Interest and profit sharing (in thousands of PLN)</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
Result on financial activity attributable to interest	28,887	26,018
Financial expenses – commissions and sureties obtained	6,526	5,105
Dividends due	(229,169)	-
Interest and profit sharing in the cash flow statement	(193,756)	31,123

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<i>Profit on investing activity (in thousands of PLN)</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
Result on investing activity	754	(61)
Liquidation of property, plant and equipment	-	147
Profit on investing activity in the cash flow statement	754	86

<i>Receivables (in thousands of PLN)</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
Balance sheet movement in long-term and short-term net receivables	(21,496)	(13,871)
Change in receivables from the disposal of fixed assets	(10)	530
Movement in receivables in the cash flow statement	(21,506)	(13,341)

<i>Payables (in thousands of PLN)</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
Balance sheet movement in short-term and long-term payables	243,920	68,037
Movement in short-term and long-term loans and borrowings	(13,802)	60,749
Movement in lease payables	(27,313)	(13,293)
Movement in fees payable under obtained sureties	17	(44)
Movement in settlements on account of the purchase of fixed assets	(37,396)	(14,241)
Movement in payables in the cash flow statement	165,426	101,208

35. INFORMATION ON HEADCOUNT BROKEN DOWN INTO PROFESSIONAL GROUPS

<i>Professional group</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
Management Board	2	2
White-collar workers	1,203	1,540
Blue-collar workers	8,766	6,760
Total headcount	9,971	8,302

36. INFORMATION ON THE FEE OF THE STATUTORY AUDITOR OR THE ENTITY AUTHORIZED TO AUDIT THE FINANCIAL STATEMENTS

Fees paid or payable to the auditor for the years ended 31 December 2016 and 31 December 2015, broken down into types of services, were as presented in the following table:

<i>Type of service</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
Mandatory audit of the annual financial statements	115	105
Other certification services	-	-
Tax consulting services	-	-
Other services	414	69
Total, of which:	529	174

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- payable as at the balance sheet date	261	38
- paid as at the balance sheet date	-	-

37. INFORMATION ABOUT REMUNERATION, INCLUDING REMUNERATION FROM PROFIT, AND PENSIONS PAID OR PAYABLE TO PERSONS IN THE MANAGEMENT OR SUPERVISORY BODIES OR ADMINISTRATION BODIES

Remuneration of persons in the Company's management or supervisory bodies or administration bodies were as follows:

<i>Remuneration (in thousands of PLN)</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>
Management Board	630	506
Supervisory Board	448	306
Total remuneration	1,078	812

As at the date of preparation of the financial statements, the Company runs an incentive program the framework rules of which were set by a resolution of the Shareholder Meeting adopted on 28 April 2016 and amended by a resolution of the Shareholder Meeting adopted on 20 January 2017 ("**Incentive Program**"). According to the rules of the Incentive Program, its participants may only be Management Board members and other officers reporting directly to Management Board members ("**Eligible Persons**"). The list of Eligible Persons is kept by the Supervisory Board. The Eligible Persons are required to sign an agreement with the Company governing the rules of participation in the Incentive Program and specifying the number of participation units granted to the Eligible Persons under which the Eligible Persons have the right to receive cash benefits ("**Participation Units**"). The amount of cash benefits based on the Participation Units depends on the Final Offered Share Price for Institutional Investors or, in the case of Participation Units 2 (as defined below), if the Selling Shareholder is unable to sell all the Shares in the Offering, based on the price of the next tranche of Shares sold by the Selling Shareholder. As at the date of preparation of the financial statements, in addition to Management Board members, only one other person has the status of an Eligible Person. The total number of Eligible Persons may not be higher than six. Eligible Persons are selected by resolution of the Supervisory Board and the decision regarding the selection is made by the Supervisory Board itself or based on a recommendation of the Management Board.

Candidates for Eligible Persons are selected by Management Board members and presented to the Supervisory Board for the final decision on a possible enrollment of the candidate in the Incentive Program.

The Incentive Program involves the granting, to the selected Eligible Persons, of two types of Participation Units which differ, without limitation, in the conditions of exercise of the rights attached to the Participation Units and in the amount of benefits due. Upon fulfillment of the conditions established in the Incentive Program, the Eligible Persons will have the right to receive a cash benefit from the Company resulting from the exercise of the rights attached to the Participation Units. An Eligible Person may lose this right if, without limitation: (i) the employment relationship between the Eligible Person and the Company ceases for reasons attributable to the Eligible Person; or (ii) the Eligible Person, after the cessation of the employment relationship, violates binding obligations to the Company in respect of non-competition or the protection of business secrets, (iii) the Eligible Person fails to cooperate with the Company and its shareholders in the Offering.

The Incentive Program will be valid until the date of sale of all Shares held by the Selling Shareholder but no later than 31 May 2026. If the Selling Shareholder continues to be a shareholder of the Company after 31 May 2026, the rights arising from the Incentive Program will expire.

*First phase of the exercise of rights arising from the Participation Units ("**Participation Units 1**")*

Only members of the Management Board are eligible to acquire Participation Units 1. According to the principles of the Incentive Program, Management Board members are entitled to cash benefits from the exercise of rights

arising from their Participation Units 1 in the total amount of PLN 1.5 million, provided that the budget for the financial year 2014 was performed.

Due to the fact that the budget for the indicated period was performed, Szymon Piduch and Michał Krauze are entitled to receive cash benefits in the amount of PLN 1.2 million and PLN 0.3 million, respectively ("**Execution Amount 1**"). Each of the Management Board members will be required to acquire Shares in the Offering with a value corresponding to 1/3 of net Execution Amount 1 and to refrain from selling such Shares for a period of 2 years from the date of commencement of trading in the Shares on the Warsaw Stock Exchange. The payment of this part of Execution Amount 1 will be made to an escrow account kept for the pertinent Management Board member no later than on the next business day following the setting of the Final Offered Share Price for Institutional Investors ("**Pricing Date**"). The remaining part of this amount, i.e. 2/3 of net Execution Amount 1, will be paid within 30 days from the Pricing Date to the bank account kept for each of the Management Board members. The price for which the Management Board members will acquire the Shares in the exercise of rights arising from Participation Units 1 will be equal to the Final Offered Share Price for Institutional Investors. If a Management Board member subscribes for a lower number of Shares than he is required to subscribe for under Participation Units 1, then the cash deposited in the escrow account which should be spent to pay up for such Shares will be transferred in an appropriate amount to the Company as a contractual penalty.

*Second phase of the exercise of rights arising from the Participation Units ("**Participation Units 2**")*

Members of the Management Board and one other person employed by the Company are eligible to acquire Participation Units 2. According to the principles of the Incentive Program, the Eligible Persons are entitled to cash benefits from the exercise of rights arising from their Participation Units 2 ("**Execution Amount 2**"). Execution Amount 2 will be granted provided that the following conditions are jointly satisfied: (i) the budget for any of the financial years: 2014, 2015 and 2016 is performed, and (ii) the rate of return on the investment made by the Selling Shareholder ("**Rate of Return**") exceeds a particular level (the Rate of Return will be determined taking into account such variables as the price of the Shares in the Offering, the value of the investment made by the Selling Shareholder in the Company and the total number of Shares).

The exact value of Execution Amount 2 payable to each Eligible Person for Participation Units 2 will be determined taking into account, without limitation, the following variables: (i) the level of budget performance for the years 2014-2016, (ii) the ratio of the number of Shares sold in the Offering to the total number of shares held by the Selling Shareholder on the date of the Offering, and (iii) the Rate of Return. Each of the Eligible Persons will be required to acquire the Offer Shares in the Offering with a value corresponding to between 33% and 50% of net Execution Amount 2, depending on the Rate of Return. The Eligible Persons will be required to acquire for this amount the Offer Shares for the Final Offered Share Price for Institutional Investors and to refrain from selling such acquired Shares for a period of 2 years from the date of commencement of trading in the Shares on the Warsaw Stock Exchange. Net Execution Amount 2 for which the Eligible Person will be required to acquire the Shares will be transferred to the Eligible Person's escrow account no later than on the Pricing Date. The remaining part, i.e. 50%-67% of Execution Amount 2, will be transferred to the bank account kept for the Eligible Person within 30 days of the Pricing Date. If a Management Board member subscribes for a lower number of Shares than he is required to subscribe for (from part of Execution Amount 2), then the cash deposited in the escrow account which should be spent to pay up for such Shares will be transferred in an appropriate amount to the Company as a contractual penalty.

If the Selling Shareholder fails to sell all the Shares in the Offering, the Eligible Person will be entitled to receive further cash benefits in an amount determined taking into account, without limitation, the following criteria: (i) the level of budget performance for the years 2014-2016, (ii) the ratio of the number of Shares sold in the next tranche of Shares to the total number of Shares held by the Selling Shareholder on the date of the Offering, and (iii) the Rate of Return on the pertinent next tranche of Shares sold by the Selling Shareholder. Each of the Eligible Persons will be required to acquire Shares in the Offering with a value corresponding to between 33% and 50% of net Execution Amount 2, depending on the Rate of Return ("**Further Execution Amount 2**"). Each net Further Execution Amount 2 will be paid within 30 days from the date of sale of each further tranche of Shares. An Eligible

Person will be required to acquire Shares on the secondary market with a value corresponding to between 33% and 50% of net Further Execution Amount 2 (depending on the Rate of Return) each time within 7 days from the day of receipt of Further Execution Amount 2 and to refrain from selling such acquired Shares for a period of 2 years from the date of commencement of trading in the Shares on the Warsaw Stock Exchange. In the event of failure to comply with the requirement to acquire the Shares each time for the above-specified part of net Further Execution Amount 2, each Eligible Person will be required to pay to the Company a contractual penalty of PLN 30 thousand for each case of failure to comply with the requirement to acquire the Shares for the specified part of net Further Execution Amount 2

The maximum amount allocated for the exercise of rights arising from Participation Units 2 will be PLN 7 million, with Szymon Piduch and Michał Krauze entitled to receive cash benefits in the maximum amount of PLN 5 million and PLN 1 million, respectively.

In connection with the Incentive Program in place, a provision is recognized in the consolidated financial statements for pertinent costs in the amount of PLN 5,666 thousand (note 13).

The costs of the program are settled during the vesting period for payments from the Incentive Program, i.e. since the date of establishment of the Incentive Program, that is since April 2016, applying the straight-line method, until the expected date of completion of the Incentive Program.

38. INFORMATION ABOUT LOANS AND SIMILAR BENEFITS PROVIDED TO PERSONS IN THE MANAGEMENT OR SUPERVISORY BODIES OR ADMINISTRATION BODIES

Both in the financial year ended 31 December 2016 and in the previous year, the Company did not grant any loans or similar benefits to persons in the managing, supervisory or administrative bodies.

39. INFORMATION ABOUT JOINT VENTURES THAT ARE NOT SUBJECT TO CONSOLIDATION

The Company did not take part in any joint ventures that are not subject to consolidation.

40. INFORMATION ABOUT THE GROUP AND TRANSACTIONS WITH RELATED ENTITIES

a) Group

The Company operates as part of the DINO Polska group.

The Company prepares consolidated financial statements for its group of which it is the parent company.

b) Parent entity

The Company's parent entity is Tomasz Biernacki running a business under the name of Zakłady Mięsne "Biernacki" Tomasz Biernacki with its registered office in Czeluścin, Czeluścin 6, 63-830 Pępowo.

The amounts of transactions with the parent entity were as follows:

<i>(in thousands of PLN)</i>	<i>Year ended</i>	<i>Year ended</i>
	<i>31 December 2016</i>	<i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Procurements	527	529
Sales	-	2
<i>(in thousands of PLN)</i>	<i>31 December 2016</i>	<i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	-	7
Liabilities on account of goods, work and services	53	44

c) Transactions with other related parties, including entities which are together with the Company under joint control of the parent entity

The amounts of transactions with subsidiaries and related entities were as follows:

Agro-Rydzyna spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)

	Year ended 31 December 2016	Year ended 31 December 2015
	Total	Total
Procurements	432,648	345,637
Sales	1,009	979
(in thousands of PLN)	31 December 2016	31 December 2015
	Total	Total
Receivables on account of goods, work and services	147	156
Liabilities on account of goods, work and services	72,463	59,894
Other liabilities	15	-

Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych in liquidation

(in thousands of PLN)

	Year ended 31 December 2016	Year ended 31 December 2015
	Total	Total
Interest - financial expenses	2,029	-

Vitrexa Holdings Ltd

(in thousands of PLN)

	Year ended 31 December 2016	Year ended 31 December 2015
	Total	Total
Interest – financial income	39	47
Dividends received and profit sharing	229,169	-

(in thousands of PLN)

	31 December 2016	31 December 2015
	Total	Total
Loans granted	-	901
Loans received	-	30

Centrum Wynajmu Nieruchomości spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)

	Year ended 31 December 2016	Year ended 31 December 2015
	Total	Total
Procurements	22,244	8,448
Sales	5,939	4,580

(in thousands of PLN)

	31 December 2016	31 December 2015
	Total	Total
Receivables on account of goods, work and services	274	170
Liabilities on account of goods, work and services	431	561

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Loans granted	1	-
Loans received	53	-
Other receivables	61	607
Other liabilities	2	42
Other securities	22,118	-

Centrum Wynajmu Nieruchomości 1 S.A.

(in thousands of PLN)

	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Procurements	5,089	2,098
Sales	347	324
Interest - financial expenses	13	381
Interest – financial income	260	61

(in thousands of PLN)

	<i>31 December 2016</i>	<i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	-	-
Liabilities on account of goods, work and services	24	77
Loans granted	-	9,630
Loans received	3,049	-
Other receivables	26	22
Other liabilities	-	54

Centrum Wynajmu Nieruchomości 2 S.A.

(in thousands of PLN)

	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Procurements	9,200	8,371
Sales	390	674
Interest – financial income	851	438

(in thousands of PLN)

	<i>31 December 2016</i>	<i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	4	-
Liabilities on account of goods, work and services	168	497
Loans granted	17,378	14,449
Loans received	96	-
Other receivables	72	74
Other liabilities	-	164

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Centrum Wynajmu Nieruchomości 3 S.A.

(in thousands of PLN)

	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Procurements	9,006	7,986
Sales	346	710
Interest - financial expenses	-	33
Interest – financial income	789	49

(in thousands of PLN)

	<i>31 December 2016</i>	<i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services		-
Liabilities on account of goods, work and services	256	196
Loans granted	7,031	3,111
Loans received	78	-
Other receivables	112	62
Other liabilities	-	73

Centrum Wynajmu Nieruchomości 4 S.A.

(in thousands of PLN)

	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Procurements	5,059	4,629
Sales	330	421
Interest - financial expenses	-	492
Interest – financial income	384	5

(in thousands of PLN)

	<i>31 December 2016</i>	<i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	9	-
Liabilities on account of goods, work and services	436	157
Loans granted	9,038	1,204
Loans received	67	-
Other receivables	47	9
Other liabilities	-	62

Centrum Wynajmu Nieruchomości 5 S.A.

(in thousands of PLN)

	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Procurements	4,155	3,255
Sales	164	662
Interest - financial expenses	9	867
Interest – financial income	1	-

(in thousands of PLN)

	<i>31 December 2016</i>	<i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	-	-
Liabilities on account of goods, work and services	386	127
Loans received	1,779	-

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Other receivables	20	48
Other liabilities	-	69

Centrum Wynajmu Nieruchomości 6 S.A.

(in thousands of PLN)

	<i>Year ended</i> 31 December 2016	<i>Year ended</i> 31 December 2015
	<i>Total</i>	<i>Total</i>
Procurements	6,922	5,700
Sales	408	794
Interest - financial expenses	4	459
Interest – financial income	298	-

(in thousands of PLN)

	31 December 2016	31 December 2015
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	-	-
Liabilities on account of goods, work and services	722	174
Loans granted	12,042	-
Loans received	100	3,417
Other receivables	60	44
Other liabilities	-	88

Centrum Wynajmu Nieruchomości Marketing spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)

	<i>Year ended</i> 31 December 2016	<i>Year ended</i> 31 December 2015
	<i>Total</i>	<i>Total</i>
Sales	6	1
Interest - financial expenses	-	49

Centrum Wynajmu Nieruchomości Sp. z o.o. Marketing 2 SKA (in liquidation)

(in thousands of PLN)

	<i>Year ended</i> 31 December 2016	<i>Year ended</i> 31 December 2015
	<i>Total</i>	<i>Total</i>
Sales	11	1

Dino Krotoszyn spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)

	<i>Year ended</i> 31 December 2016	<i>Year ended</i> 31 December 2015
	<i>Total</i>	<i>Total</i>
Procurements	14,830	11,756
Sales	159	21
Interest – financial income	63	79

(in thousands of PLN)

	31 December 2016	31 December 2015
	<i>Total</i>	<i>Total</i>
Liabilities on account of goods, work and services	1,684	1,230

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Dino Oil spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)

	Year ended 31 December 2016	Year ended 31 December 2015
	Total	Total
Sales	11	1

(in thousands of PLN)

	31 December 2016	31 December 2015
	Total	Total
Receivables on account of goods, work and services	12	-
Loans granted	13	6

Dino Północ spółka z ograniczoną odpowiedzialnością (formerly Dino Logistic Północ spółka z ograniczoną odpowiedzialnością)

(in thousands of PLN)

	Year ended 31 December 2016	Year ended 31 December 2015
	Total	Total
Sales	8	-

(in thousands of PLN)

	31 December 2016	31 December 2015
	Total	Total
Receivables on account of goods, work and services	10	-

Dino Południe spółka z ograniczoną odpowiedzialnością (formerly Dino Market spółka z ograniczoną odpowiedzialnością)

(in thousands of PLN)

	Year ended 31 December 2016	Year ended 31 December 2015
	Total	Total
Sales	8	-

(in thousands of PLN)

	31 December 2016	31 December 2015
	Total	Total
Receivables on account of goods, work and services	10	-

Pol-Food Polska spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)

	Year ended 31 December 2016	Year ended 31 December 2015
	Total	Total
Procurements	38,607	23,588
Interest - financial expenses	1,804	-
Interest – financial income	-	5

(in thousands of PLN)

	31 December 2016	31 December 2015
	Total	Total
Liabilities on account of goods, work and services	40,967	23,165
Other securities	18,100	-
Other liabilities	61	-

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Value of transactions with entities which are under joint control of the parent entity together with the Company:

*DAVI Przedsiębiorstwo Handlowe spółka z ograniczoną odpowiedzialnością**

<i>(in thousands of PLN)</i>	<i>Year ended</i>	<i>Year ended</i>
	<i>31 December 2016</i>	<i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Procurements	1,616	3,729
Sales	2	24

<i>(in thousands of PLN)</i>	<i>31 December 2016</i>	<i>31 December 2015</i>
<i>Total</i>	<i>Total</i>	
Liabilities on account of goods, work and services	-	449

*ITECOM spółka z ograniczoną odpowiedzialnością***

<i>(in thousands of PLN)</i>	<i>Year ended</i>	<i>Year ended</i>
	<i>31 December 2016</i>	<i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Procurements	-	15,751
Sales	-	13

<i>(in thousands of PLN)</i>	<i>31 December 2016</i>	<i>31 December 2015</i>
<i>Total</i>	<i>Total</i>	
Liabilities on account of goods, work and services	-	931
Other liabilities	-	1,316

*Since 22 June 2016, DAVI Trading Company sp. z o.o. is no longer a party related to Tomasz Biernacki and consequently the transactions effected after that date are presented as transactions with other entities.

** Since 5 March 2015, ITECOM sp. z o.o. is no longer a party related to Tomasz Biernacki and consequently the transactions effected after that date are presented as transactions with other entities.

The amount of the transactions with other related entities was:

TBE spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>Year ended</i>	<i>Year ended</i>
	<i>31 December 2016</i>	<i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Sales	5	-

<i>(in thousands of PLN)</i>	<i>31 December 2016</i>	<i>31 December 2015</i>
<i>Total</i>	<i>Total</i>	
Receivables on account of goods, work and services	-	1

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Krot Invest KR Inżynieria Sp. z o.o.

(in thousands of PLN)

	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Procurements	112,222	13,408
Sales	419	67,777

(in thousands of PLN)

	<i>31 December 2016</i>	<i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	43	60
Liabilities on account of goods, work and services	8	-
Other liabilities	46,172	7,071

Krot Invest 2 KR Inżynieria Sp. z o.o.

(in thousands of PLN)

	<i>Year ended</i> <i>31 December 2016</i>	<i>Year ended</i> <i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Procurements	6,439	4,811
Sales	2	4

(in thousands of PLN)

	<i>31 December 2016</i>	<i>31 December 2015</i>
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	1	110
Liabilities on account of goods, work and services	1,573	312
Other liabilities	74	81

The company purchases wine from Bartex - Bartol Sp. o.o. Sp.k. which comes from a majority shareholder. In 2016, the value of such purchases amounted to PLN 3,299 thousand (2015: PLN 2,229 thousand).

41. TRANSACTIONS WITH OTHER RELATED PARTIES ON A NON-ARM'S LENGTH BASIS

Transactions concluded by the Company with its related entities in the financial period ended 31 December 2016 and in the preceding year were concluded on an arm's length basis.

42. LIST OF ENTITIES IN WHICH THE COMPANY IS A SHAREHOLDER INCURRING UNLIMITED MATERIAL LIABILITY

In the financial year ended 31 December 2016 and in the previous year, the Company was not a shareholder incurring unlimited material liability in any entity.

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43. LIST OF ENTITIES IN WHICH THE COMPANY HOLDS CAPITAL OR VOTES IN THE ENTITY'S DECISION-MAKING BODY

31 December 2016

<i>Name of the entity</i>	<i>Registered office</i>	<i>Book value of the ownership interest / shares</i>	<i>Share in equity (%)</i>	<i>Net profit (loss) for the year ended 31 December 2016</i>	<i>Equity as at 31 December 2016</i>
"Agro-Rydzyna" Sp. z o.o.*	Poland, Kłoda	99,771	100%	5,986	49,445
Vitrema Holdings Ltd.**	Cyprus, Limassol	4	100%	229,413	90
Centrum Wynajmu Nieruchomości Sp. z o.o.*	Poland, Krotoszyn	51	100%	5,581	7,185
Dino Krotoszyn Sp. z o.o. *	Poland, Krotoszyn	4,000	100%	4,004	18,432
Dino Najbliżej Ciebie Foundation**	Poland, Krotoszyn	10	100%	-	-
Centrum Wynajmu Nieruchomości Sp. z o.o. Marketing 2 SKA**	Poland, Krotoszyn	50	100%	(10)	27
Dino Oil Sp. z o.o.**	Poland, Krotoszyn	5	100%	(13)	(16)
Dino Południe Sp. z o.o. (formerly Dino Market Sp. z o.o.)**	Poland, Krotoszyn	5	100%	(2)	3
Dino Północ Sp. z o.o. (formerly Dino Logistic Północ Sp. z o.o.)**	Poland, Krotoszyn	5	100%	(2)	3
Pol-Food Polska Sp. z o.o. **	Poland, Krotoszyn	9,866	90%	20,089	318,535
Centrum Wynajmu Nieruchomości 1 S.A.	Poland, Krotoszyn	139,061	99%	13,496	124,962
Centrum Wynajmu Nieruchomości 2 S.A.	Poland, Krotoszyn	91,195	99%	8,703	99,929
Centrum Wynajmu Nieruchomości 3 S.A.	Poland, Krotoszyn	90,147	99%	8,144	98,324
Centrum Wynajmu Nieruchomości 4 S.A.	Poland, Krotoszyn	99,944	99%	8,700	104,575
Centrum Wynajmu Nieruchomości 5 S.A.	Poland, Krotoszyn	98,198	99%	8,704	104,272
Centrum Wynajmu Nieruchomości 6 S.A.	Poland, Krotoszyn	94,839	99%	8,146	99,916

* Company's tentative data before the audit by a chartered auditor

** Company not subject to audit by a chartered auditor

31 December 2015

<i>Name of the entity</i>	<i>Registered office</i>	<i>Book value of the ownership interest / shares</i>	<i>Share in equity (%)</i>	<i>Net profit (loss) for the year ended 31 December 2015</i>	<i>Equity as at 31 December 2015</i>
"Agro-Rydzyna" Sp. z o.o.*	Poland, Kłoda	99,771	100%	6,728	43,459
Vitrema Holdings Ltd.**	Cyprus, Limassol	406,833	100%	-	-
Centrum Wynajmu Nieruchomości Sp. z o.o.**	Poland, Krotoszyn	51	100%	1,124	1,604
Dino Krotoszyn Sp. z o.o. **	Poland, Krotoszyn	4,000	100%	6,922	17,907
Dino Najbliżej Ciebie Foundation**	Poland, Krotoszyn	10	100%	-	-
Centrum Wynajmu Nieruchomości Sp. z o.o. Marketing SKA**	Poland, Krotoszyn	-	100%	6,582	285,396
Centrum Wynajmu Nieruchomości Sp. z o.o. Marketing 2 SKA**	Poland, Krotoszyn	50	100%	(6)	40
Dino Oil Sp. z o.o.**	Poland, Krotoszyn	5	100%	(3)	(3)
Dino Market Sp. z o.o.**	Poland, Krotoszyn	5	100%	(0)	5
Dino Logistic Północ Sp. z o.o.**	Poland, Krotoszyn	5	100%	(0)	5
Pol-Food Polska Sp. z o.o. **	Poland, Krotoszyn	11,668	98%	12,392	12,405

* Company's tentative data before the audit by a chartered auditor

** Company not subject to audit by a chartered auditor

The percentage of voting rights corresponds to the shareholding in the share capital.

44. AVOIDANCE OF PREPARATION OF CONSOLIDATED FINANCIAL STATEMENTS

The Company prepares consolidated financial statements.

45. MERGERS OF COMMERCIAL COMPANIES

The Company did not merge with other entities during the financial year and previous financial year.

46. FINANCIAL INSTRUMENTS

Objectives and principles of managing financial risk

The Company is exposed to market risk, which encompasses mostly the risk of changing interest rates, but is not exposed to foreign exchange rate fluctuation risk. The Company does not hold and does not issue any financial derivatives held for trading.

The Company has guidelines and recommendations in place for managing financial risk, which define its comprehensive operating strategies, risk tolerance level and the overall risk management philosophy.

Interest rate risk

The Company's exposure to market risk caused by volatility of interest rates concerns primarily received loans and concluded lease contracts. The Company does not hedge its investment portfolio using financial derivatives.

Foreign exchange risk

Since a predominant part of the revenues and costs is on Polish zloty, the Company is not exposed to any material foreign exchange risk on account of its transactions.

Credit risk

Due to the nature of the Company (predominant part of the turnover is in cash) credit risk is insignificant. The Company does not use and hedging against credit risk. Potential credit risk pertains to trade receivables and granted loans, including loans granted to subsidiaries which, as at 31 December 2016, amount to PLN 45,503 thousand.

Interest income and costs following from concluded contracts

The table below presents the interest income and costs following from concluded contracts and pertaining to all of the Company's financial instruments, which were in the financial statements.

Year ended 31 December 2016

<i>Financial asset / liability category</i>	<i>Realized interest</i>	<i>Accrued interest (unrealized)</i>		
		<i>up to 3 months</i>	<i>from 3 to 12 months</i>	<i>over 12 months</i>
Granted loans and own receivables	2,877	188	-	-
Liabilities held for trading	11,526	-	-	-
Other short-term financial liabilities	20,416	10	-	-

Year ended 31 December 2015

<i>Financial asset / liability category</i>	<i>Realized interest</i>	<i>Accrued interest (unrealized)</i>		
		<i>up to 3 months</i>	<i>from 3 to 12 months</i>	<i>over 12 months</i>
Granted loans and own receivables	557	141	-	-
Liabilities held for trading	9,077	-	-	-
Other short-term financial liabilities	17,621	17	-	-

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Description of financial instruments

31 December 2016

	<i>Financial assets held to maturity</i>	<i>Granted loans and own receivables</i>	<i>Financial assets held for trading</i>	<i>Financial assets available for sale</i>	<i>Other financial liabilities</i>
Quantity of financial instruments	2	39	-	-	1,215
Value of financial instruments	5,574	45,503	-	-	476,086
Material terms and dates, which may influence the size, time distribution and certainty of future cash flows	Short-term deposit in mBank S.A. and in PKO BP S.A.	Loans granted for up to one year, fixed interest rate			Current financing loans received from related entities for up to 4 years, fixed interest rate. Operating and financial lease agreements entered into with, among others, ING Leasing, BRE Leasing, SG EQUIPMENT, SGB Leasing, Nordea Finance - agreements concluded for a term from 2 to 5 years. Loan agreements (note 11, 18)

31 December 2015

	<i>Financial assets held to maturity</i>	<i>Granted loans and own receivables</i>	<i>Financial assets held for trading</i>	<i>Financial assets available for sale</i>	<i>Other financial liabilities</i>
Quantity of financial instruments	1	36	-	-	906
Value of financial instruments	398	29,301	-	-	436,271
Material terms and dates, which may influence the size, time distribution and certainty of future cash flows	Short-term deposit in mBank S.A.	Loans granted for up to one year, fixed interest rate			Current financing loans received from related entities for up to 4 years, fixed interest rate. Operating and financial lease agreements entered into with, among others, ING Leasing, BRE Leasing, SG EQUIPMENT, SGB Leasing, Nordea Finance - agreements concluded for a term from 2 to 5 years. Loan agreements (note 11, 18)

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Fair value

The table below presents a comparison of carrying values and fair values of all of the Company's financial instruments which were shown in the financial statements at value other than fair value, by asset and liability category.

	<i>Carrying amount</i>		<i>Fair value</i>	
	<i>31 December 2016</i>	<i>31 December 2015</i>	<i>31 December 2016</i>	<i>31 December 2015</i>
<i>Financial assets</i>				
Cash	54,232	25,857	54,232	25,857
Trade receivables	25,785	13,148	25,785	13,148
Other financial assets (long-term)	727,151	522,397	727,151	522,397
Total	807,168	561,402	807,168	561,402
<i>Financial liabilities</i>				
Current account overdraft	1,613	8,612	1,613	8,612
Trade liabilities	529,277	397,175	529,277	397,175
Interest-bearing bank loans and borrowings:				
- Liabilities under financial lease agreements and hire-purchase agreements	108,717	81,404	108,717	81,404
- Loans and borrowings based on floating interest rate	365,756	346,255	365,756	346,255
Total	1,005,363	833,446	1,005,363	833,446

47. POST BALANCE SHEET DATE EVENTS

DINO Polska S.A. has established an incentive program for management staff, consisting in granting property rights to eligible persons in the form of Participation Units (nota 37). Szymon Piduch and Michał Krauze ("**Participants**") will be the sole beneficiaries of the incentive program, which will be established for them by the Selling Shareholder. Detailed rules for the incentive program will be established in the agreements between the Participants and the Selling Shareholder ("**Selling Shareholder's Incentive Program**"). At the conclusion of appropriate participation agreements of the Selling Shareholder's Incentive Program, Participants will receive one participation unit, on the basis of which they will be entitled to receive cash benefits which amount is related to the price obtained from the sale of the Shares by the Selling Shareholder ("**Units**").

Upon fulfillment of the conditions established in the Selling Shareholder's Incentive Program, Participants will have the right to receive cash benefit from the Selling Shareholder due to realization of the Units entitled to them. The Participants may lose this right if, among other things: (i) the Participant's employment with the Company is terminated for reasons attributable to the Participant; or (ii) after termination of employment, the Participant violates his obligations towards the Company as regards non-competition or protection of corporate secret.

The Selling Shareholder's Incentive Program will prevail until the sale of all Selling Shareholder's Shares, but no later than 31 May 2026. If the Selling Shareholder continues to be a shareholder in the Company after 31 May 2026, the rights from the unrealized part of the Selling Shareholder's Incentive Program will expire.

According to the assumptions of the Selling Shareholder's Incentive Program, Participants will be entitled to a cash benefit for realization of the Units they are entitled to, under the condition that, among other things, an IPO with total amount ranging from PLN 3.75 million to PLN 7.5 million is carried out, which will depend on the price of the Shares sold by the Selling Shareholder ("**Payout Amount**"). The Payout Amount for individual

Management Board members is as follows: PLN 3.1 million - PLN 6.2 million for Szymon Piduch and PLN 0.65 million - PLN 1.3 million for Michał Krauze. The Payout Amount will be paid to the Participants pro rata to the number of Shares sold each time by the Selling Shareholder, including in connection with the sale of the Offer Shares.

Payment of the considerations if the Offering is carried out

The Participants will be entitled to obtain (part or all) Payout Amount if the Offering is carried out in the amount calculated in relation to the Final Offered Share Price for Institutional Investors and the ratio of the number of Shares finally offered in the Offering to the total number of Shares held by the Selling Shareholder on the Offer date ("**IPO Payout Amount**"). Each of the Participants will be required to purchase the Shares in the Offering with the value corresponding to 50% net IPO Payout Amount and keep such purchased Shares for two years from the first day of listing of the Shares on the Warsaw Stock Exchange. The Participants will acquire the Shares in the Offering as Management Option Scheme Investors. The claim for payment of the part of the IPO Payout Amount earmarked for purchase of the Shares in the Offering will be set off against the claim for payment of the purchase price for purchase of the appropriate number of the Shares in the Offering.

The remaining amount, i.e. about half of the IPO Payout Amount, will be paid within 14 days from the date of recording the Shares on the securities accounts of the Management Option Scheme Investors to a bank account held for each Management Board member. The price at which Management Board members will acquire the Shares exercising the rights from the Units will be equal to the Final Offered Share Price for Institutional Investors. If the given Management Board member subscribes for a smaller number of Shares than he is obligated to on account of the Units, he will be required to pay a contractual penalty to the Selling Shareholder corresponding to the amount which was supposed to be allocated for the purchase of the Shares by the Participant but was not spent to this end.

Payment of considerations in the event of a further offerings

If the Selling Shareholder does not sell all Shares in the Offering the Participants will be entitled to further cash considerations in the amount calculated each time based on the price of the Shares sold by the Selling Shareholder and the ratio of the number of shares sold in the next stake of Shares to the total number of Shares held by the Selling Shareholder on the Offering date ("**Further Payout Amount**"). Each Further Payout Amount net will be paid within 14 days from the date of sale of each new stake of the Shares. The Participants will be required to purchase the Shares on the secondary market worth 50% of the Further Payout Amount net within 7 days from receipt of the Further Payout Amount, unless such acquisition is made directly from the Selling Shareholder in a transaction in which the Selling Shareholder will sell his Shares and will not the Shares acquired this way within two years from the date of their acquisition. In the event of failure to fulfill the obligation to acquire the Shares for each of the aforementioned parts of the Further Payout Amount net each Participant will be required to pay a contractual penalty to the Selling Shareholder in the amount corresponding to the amount that was supposed to be earmarked for the purchase of the Shares by the Participant but was not spent to this end.

In the opinion of the Management Board, in addition to the aforementioned issue, after the balance sheet date, there were no other material events requiring disclosure in the financial statements.